

Samsung Biologics Co., Ltd.

Separate Financial Statements

December 31, 2024 and 2023

Samsung Biologics Co., Ltd.
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December 31, 2024 and 2023

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Independent Auditor's Report

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion

We have audited the accompanying separate financial statements of Samsung Biologics Co., Ltd. (the "Company"), which comprise the separate statements of financial position as of December 31, 2024 and 2023, and the separate statements of comprehensive income, separate statements of changes in equity and separate statements of cash flows for the years then ended, and notes to the separate financial statements, including material accounting policy information.

In our opinion, the accompanying separate financial statements present fairly, in all material respects, the separate financial position of the Company as of December 31, 2024 and 2023, and its separate financial performance and its separate cash flows for the years then ended in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS).

We also have audited, in accordance with Korean Standards on Auditing, the Company's Internal Control over Financial Reporting as of December 31, 2024, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*, and our report dated February 25, 2025 expressed an unqualified opinion.

Basis for Opinion

We conducted our audits in accordance with Korean Standards on Auditing. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of the financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

Without modifying our opinion, we draw attention to Note 34 to the separate financial statements.

Administrative lawsuit against a ruling of the Securities and Futures Commissions

As described in Note 34 to the separate financial statements, the Securities and Futures Commission (the "SFC") made a decision to impose measures on the Company's financial statements including alleged errors in accounting for the Company's investment in Samsung Bioepis from 2012 to the first half of 2018.

The Company submitted requests to the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and the Court accepted the Company's requests. In relation to this, the appeal and re-appeal made by SFC were rejected by the Seoul High Court and the Supreme Court, respectively.

An administrative lawsuit against a ruling of the SFC is in progress, and it is not possible to predict the outcome.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the separate financial statements of the current period. These matters were addressed in the context of our audit of the separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

(1) Revenue recognition cut-off of CMO batch sales

Why it is determined to be a Key Audit Matter

The Company operates a CMO (Contract Manufacturing Organization) business which is engaged for the production of bio-medicine. The Company's revenue recognition process primarily includes technology transfer procedures, regulatory approval procedures, and commercial production procedures. The Company recognizes revenue over time when the transfer of control of produced bio-medicine to a customer is made (Note 2).

Since the timing of transfer of control of CMO batch sales may vary depending on the transaction agreement between parties, the timing of recognition of CMO business revenue is identified as a significant risk. And we determined that revenue recognition cut-off of the CMO batch sales to be a key audit matter as its size in the financial statements is significant.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the CMO revenue recognition are as follows.

- Assessed the reasonableness of the accounting policy in relation to revenue recognition.
- Obtained an understanding and evaluated internal controls over the determination of the timing of revenue recognition.
- Inspected contracts for a sample of projects to assess the appropriateness of revenue recognition accounting.
- Assessed the appropriateness of the determination of the revenue recognition point by project through audit sampling.

Other Matter

Auditing standards and their application in practice vary among countries. The procedures and practices used in the Republic of Korea to audit such financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the separate financial statements in accordance with Korean IFRS, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Korean Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Korean Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ki-Rok Kim, Certified Public Accountant.

Samil PricewaterhouseCoopers

Seoul, Korea
February 25, 2025

This report is effective as of February 25, 2025, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying separate financial statements and notes thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.
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Samsung Biologics Co., Ltd.
Separate Statements of Financial Position
December 31, 2024 and 2023

<i>(in Korean won)</i>	Notes	2024	2023
Assets			
Current assets			
Cash and cash equivalents	5,6,32,33	₩ 299,588,328,642	₩ 230,790,684,551
Short-term financial instruments	5,33	900,000,000,000	1,650,000,000,000
Trade and other receivables	5,8,31,33	785,792,736,192	390,232,937,790
Inventories	10,25	1,882,955,514,642	1,678,605,972,283
Contract assets	9,33	84,626,028,810	66,670,533,149
Other current financial assets	5,11,33	24,105,411,518	36,987,658,039
Other current assets	12	15,232,738,058	17,125,082,302
		<u>3,992,300,757,862</u>	<u>4,070,412,868,114</u>
Non-current assets			
Long-term financial instruments	5,7,33	6,000,000	5,186,000,000
Trade and other receivables	5,8,31,33	5,880,446,322	10,050,690,285
Investments in subsidiaries and associates	13	3,328,226,236,594	3,317,532,174,094
Property, plant and equipment	14	5,047,583,098,573	3,542,877,089,587
Intangible assets	15	65,174,295,623	53,780,529,889
Right-of-use asset	19	461,455,134,905	458,677,499,904
Net defined benefit assets	21	11,219,728,018	20,587,959,706
Contract assets	9, 33	277,987,597,673	272,476,716,042
Deferred tax assets	28	100,980,354,010	61,623,782,422
Other non-current financial assets	5,11,33	24,379,812,613	16,966,656,089
Other non-current assets	12	2,017,462,617	1,088,638,424
		<u>9,324,910,166,948</u>	<u>7,760,847,736,442</u>
Total assets		<u>₩ 13,317,210,924,810</u>	<u>₩ 11,831,260,604,556</u>
Liabilities			
Current liabilities			
Trade and other payables	5,17,21,31,33	₩ 1,126,445,629,735	₩ 1,028,688,065,985
Emission liability	18	500,890,270	863,719,120
Debentures and borrowings	5,16,30,32,33	-	808,405,014,266
Contract liabilities	9,31	105,073,838,377	74,138,341,143
Lease liabilities	5,19,32,33	137,063,053,812	142,466,812,128
Current tax liabilities		277,965,234,889	167,659,857,975
Other current liabilities	9,20,31	1,032,343,022,959	732,055,396,556
		<u>2,679,391,670,042</u>	<u>2,954,277,207,173</u>

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Separate Statements of Financial Position
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<i>(in Korean won)</i>	Notes	2024	2023
Non-current liabilities			
Trade and other payables	5,17,21,31,33	17,502,274,248	11,661,214,313
Debentures and borrowings	5,16,30,32,33	917,756,707,992	119,782,549,508
Derivative liabilities	5	5,134,918,626	24,643,703,711
Contract liabilities	9,31	351,146,531,551	279,735,405,270
Lease liabilities	5,19,32,33	6,776,948,384	135,737,149,042
Other non-current liabilities	9,20,31	58,609,112,309	66,789,592,807
		<u>1,356,926,493,110</u>	<u>638,349,614,651</u>
Total liabilities		<u>4,036,318,163,152</u>	<u>3,592,626,821,824</u>
Equity			
Share capital	1,22	177,935,000,000	177,935,000,000
Share premium	22	5,672,425,121,121	5,672,425,121,121
Accumulated other comprehensive loss	21,22	(19,323,362,692)	(10,615,840,578)
Retained earnings		<u>3,449,856,003,229</u>	<u>2,398,889,502,189</u>
Total equity		<u>9,280,892,761,658</u>	<u>8,238,633,782,732</u>
Total liabilities and equity		<u>₩ 13,317,210,924,810</u>	<u>₩ 11,831,260,604,556</u>

The above separate statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Separate Statements of Comprehensive Income
Years Ended December 31, 2024 and 2023

<i>(in Korean won)</i>	Note	2024	2023
Revenue	4,23,31	₩ 3,497,145,675,782	₩ 2,938,755,680,729
Cost of revenue	9,10,23,25, 31	<u>(1,784,146,429,770)</u>	<u>(1,448,384,619,849)</u>
Gross profit		<u>1,712,999,246,012</u>	<u>1,490,371,060,880</u>
Selling, general and administrative expenses	24,25,31	<u>(391,573,724,162)</u>	<u>(286,183,067,839)</u>
Operating Income		<u>1,321,425,521,850</u>	<u>1,204,187,993,041</u>
Other income	26,31	4,327,315,894	2,453,261,094
Other expenses	26,31	(5,339,997,629)	(7,316,183,337)
Finance income	5,27	227,643,230,942	174,498,682,070
Finance costs	5,27	<u>(145,678,182,176)</u>	<u>(149,640,340,368)</u>
Profit before income tax		1,402,377,888,881	1,224,183,412,500
Income tax expense	28	<u>(351,411,387,841)</u>	<u>(278,263,086,582)</u>
Profit for the year		<u>1,050,966,501,040</u>	<u>945,920,325,918</u>
Other comprehensive loss		(8,707,522,114)	(3,889,761,466)
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurements of net defined benefit liabilities	21,22	<u>(8,707,522,114)</u>	<u>(3,889,761,466)</u>
Total comprehensive income for the year		<u>₩ 1,042,258,978,926</u>	<u>₩ 942,030,564,452</u>
Earnings per share			
Basic earnings per share	29	₩ 14,766	₩ 13,290
Diluted earnings per share	29	14,766	13,290

The above separate statements of comprehensive income should be read in conjunction with the accompanying note.

Samsung Biologics Co., Ltd.
Separate Statements of Changes in Equity
Years Ended December 31, 2024 and 2023

<i>(in Korean won)</i>	Notes	Share capital	Share premium	Accumulated other comprehensive income (loss)	Retained earnings	Total
Balance at January 1, 2023		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ (6,726,079,112)	₩ 1,452,969,176,271	₩ 7,296,603,218,280
Total comprehensive income						
Profit for the year		-	-	-	945,920,325,918	945,920,325,918
Other comprehensive income						
Remeasurements of net defined benefit liabilities	21,22	-	-	(3,889,761,466)	-	(3,889,761,466)
Total comprehensive income for the year		-	-	(3,889,761,466)	945,920,325,918	942,030,564,452
Balance at December 31, 2023		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ (10,615,840,578)	₩ 2,398,889,502,189	₩ 8,238,633,782,732
Balance at January 1, 2024		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ (10,615,840,578)	₩ 2,398,889,502,189	₩ 8,238,633,782,732
Total comprehensive income						
Profit for the year		-	-	-	1,050,966,501,040	1,050,966,501,040
Other comprehensive loss						
Remeasurements of net defined benefit liabilities	21,22	-	-	(8,707,522,114)	-	(8,707,522,114)
Total comprehensive income for the year		-	-	(8,707,522,114)	1,050,966,501,040	1,042,258,978,926
Balance at December 31, 2024		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ (19,323,362,692)	₩ 3,449,856,003,229	₩ 9,280,892,761,658

The above separate statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Separate Statements of Cash Flows
Years Ended December 31, 2024 and 2023

<i>(in Korean won)</i>	Notes	2024	2023
Cash flows from operating activities			
Cash flows generated from operating activities	32	₩ 1,626,876,840,177	₩ 1,631,395,652,367
Interest received		58,626,303,717	84,752,113,333
Interest paid		(25,434,767,469)	(21,941,208,478)
Income tax paid		(277,232,249,891)	(275,992,165,243)
Net cash inflow from operating activities		1,382,836,126,534	1,418,214,391,979
Cash flows from investing activities			
Decrease in short-term financial instruments		4,255,180,000,000	8,367,222,000,000
Decrease in long-term financial instruments		-	1,000,000
Decrease in financial assets at fair value through profit or loss		-	98,505,711,790
Disposal of property, plant and equipment	14	121,310,525	2,683,629,614
Decrease in investments in associate and joint venture	13	-	4,181,809,275
Increase in short-term financial instruments		3,500,000,000,000	7,848,321,000,000
Acquisition of property, plant and equipment	14	1,297,126,457,854	976,195,716,688
Acquisition of intangible assets	15	26,633,162,885	25,106,734,680
Acquisition of investments in associate and joint venture	13	10,694,062,500	12,553,200,000
Acquisition of investments in subsidiaries	13,32	601,956,250,000	1,071,525,000,000
Net cash outflow from investing activities		(1,181,108,622,714)	(1,461,107,500,689)
Cash flows from financing activities			
Issuance of debentures		797,659,176,800	-
Short-term borrowings		-	220,000,000,000
Repayment of debentures	16,32	380,000,000,000	40,000,000,000
Repayment of short-term borrowings	16,32	220,000,000,000	50,000,000,000
Repayment of current portion of long-term borrowings	16,32	208,682,000,000	426,699,000,000
Repayment of long-term borrowings	16,32	-	39,339,000,000
Repayment of principal of lease liabilities	19,32	143,153,442,240	155,848,043,673
Net cash outflow from financing activities		(154,176,265,440)	(491,886,043,673)
Net increase (decrease) in cash and cash equivalents		47,551,238,380	(534,779,152,383)
Cash and cash equivalents at the beginning of the period		230,790,684,551	757,945,988,143
Effects of exchange rate changes on cash and cash equivalents		21,246,405,711	7,623,848,791
Cash and cash equivalents at the end of the period		₩ 299,588,328,642	₩ 230,790,684,551

The above separate statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

December 31, 2024 and 2023

1. General Information

Samsung Biologics Co., Ltd. (the Company) was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in Biosimilar manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, The Republic of Korea. The Company was listed on securities market on November 10, 2016. As of December 31, 2024, the Company's share capital is ₩ 177,935 million.

The shareholders of the Company as of December 31, 2024, are as follows:

Shareholder	Number of shares	Percentage of ownership (%)
Samsung C&T Corporation	30,646,705	43.06
Samsung Electronics Co., Ltd.	22,217,309	31.22
Others	18,309,986	25.72
	<u>71,174,000</u>	<u>100.00</u>

2. Material Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation

The Company maintains its accounting records in Korean won and prepares statutory financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS). The accompanying financial statements have been condensed, restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Company's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The financial statements of the Company have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

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The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value.

The preparation of financial statements requires the use of critical accounting estimates. Management also needs to exercise judgement in applying the Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Company

The Company has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2024.

(a) Amendments to Korean IFRS 1001 Presentation of Financial Statements – Classification of Liabilities as Current or Non-current, Non-current Liabilities with Covenants

The amendments clarify that liabilities are classified as either current or non-current, depending on the substantive rights that exist at the end of the reporting period. Classification is unaffected by the likelihood that an entity will exercise right to defer settlement of the liability or the expectations of management. Also, the settlement of liability includes the transfer of the entity's own equity instruments, however, it would be excluded if an option to settle them by the entity's own equity instruments if compound financial instruments is met the definition of equity instruments and recognized separately from the liability. In addition, covenants that an entity is required to comply with after the end of the reporting period would not affect classification of a liability as current or non-current at the reporting date. When an entity classifies a liability that is subject to the covenants which an entity is required to comply with within twelve months of the reporting date as non-current at the end of the reporting period, the entity shall disclose information in the notes to understand the risk that non-current liabilities with covenants could become repayable within twelve months after the reporting period. The amendments do not have a significant impact on the financial statements.

(b) Amendments to Korean IFRS 1007 Statement of Cash Flows, Korean IFRS 1107 Financial Instruments: Disclosures – Supplier finance arrangements

When applying supplier finance arrangements, an entity shall disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and on the entity's exposure to liquidity risk. The Company has provided new disclosures for liabilities under supplier finance arrangements, as well as the associated cash flows, in Notes 17 and 30.

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(c) Amendments to Korean IFRS 1116 Leases – Lease Liability in a Sale and Leaseback

When subsequently measuring lease liabilities arising from a sale and leaseback, a seller-lessee shall determine lease payments or revised lease payments in a way that the seller-lessee would not recognize any amount of the gain or loss that relates to the right of use retained by the seller-lessee. The amendments do not have a significant impact on the financial statements.

(d) Amendments to Korean IFRS 1001 Presentation of Financial Statements – Disclosure of Cryptographic Assets

The amendments require an additional disclosure if an entity holds cryptographic assets, or holds cryptographic assets on behalf of the customer, or issues cryptographic assets. The amendments do not have a significant impact on the financial statements.

2.2.2 New standards and interpretations not yet adopted by the Company

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2024 reporting periods and have not been early adopted by the Company.

(a) Amendments to Korean IFRS 1021 The Effects of Changes in Foreign Exchange Rates and 1101 First-time Adoption of International Financial Reporting Standards – Lack of Exchangeability

When an entity estimates a spot exchange rate because exchangeability between two currencies is lacking, the entity shall disclose related information. The amendments should be applied for annual periods beginning on or after January 1, 2025, and earlier application is permitted. The Company is in review for the impact of these amendments on the financial statements.

(b) Amendments to Korean IFRS 1109 Financial Instruments, Korean IFRS 1107 Financial Instruments: Disclosures

Korean IFRS 1109 *Financial Instruments* and Korean IFRS 1107 *Financial Instruments: Disclosures* have been amended to respond to recent questions arising in practice, and to include new requirements. The amendments should be applied for annual periods beginning on or after January 1, 2026, and earlier application is permitted. The Company is in review for the impact of these amendments on the financial statements. These amendments:

- clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
- clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion;
- add new disclosures of impact on the entity and the extent to which the entity is exposed for each type of financial instruments if the timing or amount of contractual cash flow changes due to amendment of contract term; and

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- update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI).

(c) Annual Improvements to Korean IFRS – Volume 11

Annual Improvements to Korean IFRS -Volume 11 should be applied for annual periods beginning on or after January 1, 2026, and earlier application is permitted. The Company does not expect the amendments to have a significant impact on the financial statements.

- Korean IFRS 1101 *First-time Adoption of International Financial Reporting Standards: Hedge accounting by a first-time adopter*
- Korean IFRS 1107 *Financial Instruments: Disclosures: Gain or loss on derecognition and implementation guidance*
- Korean IFRS 1109 *Financial Instruments: Derecognition of lease liabilities and definition of transaction price*
- Korean IFRS 1110 *Consolidated Financial Statements: Determination of a 'de facto agent'*
- Korean IFRS 1007 *Statement of Cash Flows: Cost method*

2.3 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

2.4 Subsidiaries, Associates and Joint Ventures

The Company, as the controlling company in accordance with Korean IFRS 1110, *Consolidated Financial Statements*, invests in Samsung Bioepis Co., Ltd., Samsung Biologics America, Inc., which are subsidiaries, and SVIC No.54 New Technology Business Investment L.L.P. and SVIC No.64 New Technology Business Investment L.L.P. which are associates and joint ventures.

Associates are those entities in which the Company has significant influence, but not control or joint control, over the financial and operating policies. A joint venture is an arrangement in which the Company has joint control, whereby the Company has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in subsidiaries, associates and joint ventures are recognized under the cost method in accordance with Korean IFRS 1027, *Separate Financial Statements* on the Company's separate financial statements.

If there is any objective evidence that the investments in subsidiaries and associates are impaired, the Company recognizes the difference between the recoverable amount and the

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carrying amount as impairment loss.

2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the “functional currency”). The financial statements are presented in Korean won, which is the Company’s functional and presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognized in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities held at fair value through other comprehensive income are recognized in other comprehensive income.

2.6 Financial Assets

(a) Classification

The Company classifies its financial assets in the following measurement categories:

- those to be measured at amortized cost
- those to be measured at fair value through other comprehensive income, and
- those to be measured at fair value through profit or loss.

The classification depends on the Company’s business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. The Company reclassifies debt investments when, and only when its business model for managing those assets changes.

For investments in equity instruments that are not held for trading, this will depend on whether the Company has made an irrevocable election at the time of initial recognition to account for the

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equity investment at fair value through other comprehensive income. Changes in fair value of non-designated equity investment are recognized in profit or loss.

(b) Measurement

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

A. Debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the cash flow characteristics of the asset. The Company classifies its debt instruments into one of the following three measurement categories:

- **Amortized cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is derecognized or impaired. Interest income from these financial assets is included in 'finance income' using the effective interest rate method.
- **Fair value through other comprehensive income:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income. Movements in the carrying amount are taken through other comprehensive income, except for the recognition of impairment loss (reversal of impairment loss), interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss.
- **Fair value through profit or loss:** Assets that do not meet the criteria for amortized cost or fair value through other comprehensive income are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in 'finance income or costs'.

B. Equity instruments

The Company subsequently measures all equity investments at fair value. Where the Company's management has elected to present fair value gains and losses on equity investments, which are held for long-term investments or strategic purposes, in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investments. Dividend income from such investments continue to be recognized as 'finance income' when the right to receive payments is established.

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Changes in the fair value of financial assets at fair value through profit or loss are recognized in 'finance income and costs'. Impairment loss (reversal of impairment loss) on equity investments measured at fair value through other comprehensive income are not reported separately.

(c) Impairment

The Company assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and fair value through other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables and other receivables and contract assets, the Company applies the simplified approach, which requires expected lifetime credit losses to be recognized from initial recognition of the receivables (Note 33).

(d) Recognition and Derecognition

Regular way purchases and sales of financial assets are recognized or derecognized on the trade-date, the date on which the Company commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all the risks and rewards of ownership.

If a transfer does not result in derecognition because the Company has retained substantially all the risks and rewards of ownership of the transferred asset, the Company continues to recognize the transferred asset in its entirety and recognizes a financial liability for the consideration received.

(e) Offsetting of financial instruments

Financial assets and liabilities are offset and reported in the statement of financial position where there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the assets and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and also in the event of default, insolvency or bankruptcy of the Company or the counterparty.

2.7 Derivative Instruments

Derivatives are initially recognized at fair value on the date when a derivative contract is entered into and are subsequently remeasured at their fair value at the end of each reporting period. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognized immediately in finance income (costs) based on the nature of transactions.

2.8 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components and are

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recognized at fair value. Trade receivables are subsequently measured at amortized cost using the effective interest method, deducting loss allowances.

2.9 Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the individual method, moving weighted average method, or monthly gross average method. The cost of inventories includes expenditures for acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. Fixed production overheads which are included in the costs of finished goods or work-in-process are allocated based on the allocation criteria specific to each production process.

Inventories are measured at the lower of cost and net realizable value. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognized as a reduction in the amount of inventories recognized as cost of revenue in the period in which the reversal occurs.

2.10 Property, Plant and Equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses.

Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized as expense during the financial period in which they are incurred.

Depreciation of all property, plant and equipment, except for land, is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives as follows:

	Useful lives
Buildings and Structures	40 years
Machinery	5 – 15
Vehicles	4
Others	4

The assets' depreciation method, residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

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Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognized in profit or loss.

2.11 Borrowing Costs

The Company capitalizes borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset as part of the cost of that asset. Other borrowing costs are recognized in expense as incurred. A qualifying asset is an asset that requires a substantial period of time to get ready for its intended use or sale. Financial assets and inventories that are manufactured or otherwise produced over a short period of time are not qualifying assets. Assets that are ready for their intended use or sale when acquired are not qualifying assets.

To the extent that the Company borrows funds specifically for the purpose of obtaining a qualifying asset, the Company determines the amount of borrowing costs eligible for capitalization as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. To the extent that the Company borrows funds generally and uses them for the purpose of obtaining a qualifying asset, the Company shall determine the amount of borrowing costs eligible for capitalization by applying a capitalization rate to the expenditures on that asset. The capitalization rate shall be the weighted average of the borrowing costs applicable to the borrowings of the Company that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs that the Company capitalizes during a period shall not exceed the amount of borrowing costs incurred during that period.

2.12 Government Grants

Grants from the government are recognized at their fair value where there is a reasonable assurance that the grant will be received and the Company will comply with all attached conditions. Government grants related to assets are presented as a deduction when calculating the carrying amount of assets, and subsidies related to income are deferred and presented as a deduction from related expenses for the purpose of the government grants.

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Company is exempt from the full amount of rent because the Company meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Company recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

2.13 Intangible Assets

Intangible assets are initially recognized at its historical cost, and carried at cost less accumulated amortization and accumulated impairment losses.

Subsequent expenditures are capitalized only when they increase the future economic benefits embodied in the specific asset to which it relates. All other expenditures, including expenditures

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on internally generated goodwill, are recognized in profit or loss as incurred.

Amortization of intangible assets is calculated on a straight-line basis over the following estimated useful lives of intangible assets from the date that they are available for use. The residual value of intangible assets is zero. However, as there are no foreseeable limits to the periods over which memberships are expected to be available for use, they are determined as having indefinite useful lives and are not amortized.

	Useful lives
Software	5 years
Other intangible assets	5
Land use rights	50
Trademarks and patent rights	10
Memberships	indefinite

Useful lives and the amortization methods for intangible assets with finite useful lives are reviewed at the end of each reporting period. The useful lives of intangible assets that are not being amortized are reviewed at the end of each reporting period to determine whether events and circumstances continue to support indefinite useful life assessments for those assets. Changes are accounted for as changes in accounting estimates.

2.14 Impairment of Non-financial Assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.15 Trade and Other Payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of reporting period which are unpaid. Trade and other payables are presented as current liabilities, unless payment is not due within 12 months after the reporting period. They are recognized initially at their fair value and subsequently measured at amortized cost using the effective interest method.

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2.16 Financial Liabilities

(a) Classification and measurement

The Company's financial liabilities at fair value through profit or loss are financial instruments held for trading. A financial liability is held for trading if it is incurred principally for the purpose of repurchasing in the near term. A derivative that is not designated as a hedging instrument and an embedded derivative that is separated are also classified as held for trading.

The Company classifies non-derivative financial liabilities, except for financial liabilities at fair value through profit or loss, financial guarantee contracts and financial liabilities that arise when a transfer of financial assets does not qualify for derecognition, as financial liabilities carried at amortized cost and present as 'trade and other payables' and 'debentures and borrowings' in the statement of financial position.

Borrowings are initially recognized at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortized cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognized in profit or loss over the period of the borrowings using the effective interest method. Fees paid on the establishment of loan facilities are recognized as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalized as a prepayment for liquidity services and amortized over the period of the facility to which it relates.

Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

Covenants that the Company is required to comply with, on or before the end of the reporting period, are considered in classifying loan arrangements with covenants as current or non-current. Covenants that the Company is required to comply with after the reporting period do not affect the classification at the reporting date.

(b) Derecognition

Financial liabilities are removed from the statement of financial position when it is extinguished; for example, when the obligation specified in the contract is discharged or cancelled or expired or when the terms of an existing financial liability are substantially modified. The difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

2.17 Provisions and Contingencies

Provisions are recognized when the Company has a present legal or constructive obligation as a result of past events, and it is probable that an outflow of resources will be required to settle the

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obligation and the amount can be reliably estimated. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period, and the increase in the provision due to the passage of time is recognized as interest expense.

A contingent liability is disclosed when; - a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or - a present obligation that arises from past events but is not recognized because: it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

2.18 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the best estimate of expenditure required to settle the obligation at the end of the reporting period for the gas emissions in excess of the emission permits. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.19 Current and Deferred Tax

The tax expense for the period consists of current and deferred tax. Current and deferred tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax expense is measured at the amount expected to be paid to the taxation authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation, and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is provided in full on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting profit nor taxable profit or loss.

Deferred tax assets are recognized only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses.

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The Company recognizes a deferred tax liability all taxable temporary differences associated with investments in subsidiaries, associates, and interests in joint arrangements, except to the extent that the Company is able to control the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. In addition, The Company recognizes a deferred tax asset for all deductible temporary differences arising from such investments to the extent that it is probable the temporary difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilized.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset when the Company has a legally enforceable right to offset and intends either to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.20 Employee Benefits

(a) Short-term employee benefits

Short-term employee benefits are employee benefits that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services. When an employee has rendered service to the Company during an accounting period, the Company recognizes the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service.

(b) Other long-term employee benefits

Other long-term employee benefits include employee benefits that are settled beyond 12 months after the end of the period in which the employees render the related service, and are calculated at the present value of the amount of future benefit that employees have earned in return for their services in the current and prior periods. Any changes from re-measurements are recognized through profit or loss in the period in which they arise.

(c) Post-employment benefits : defined benefit plan

The Company operates both defined contribution and defined benefit pension plans.

For defined contribution plans, the Company pays contribution to publicly or privately administered pension insurance plans on mandatory, contractual or voluntary basis. The Company has no further payment obligation once the contribution has been paid. The contribution is recognized as employee benefit expense when they are due.

A defined benefit plan is a pension plan that is not a defined contribution plan. Generally, post-employment benefits are payable after the completion of employment, and the benefit amount depend on the employee's age, periods of service or salary levels. The liability recognized in the statement of financial position in respect of defined benefit pension plans is the present value of

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the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur, directly in other comprehensive income.

Changes in the present value of the defined benefit obligation resulting from plan amendments, curtailments or settlements are recognized immediately in profit or loss as past service costs.

2.21 Contributed Capital

Ordinary shares are classified as equity. Transaction costs directly related to the issuance of ordinary shares and share options are recognized as a deduction from equity.

2.22 Earnings per Share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held.

2.23 Revenue Recognition

(a) Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Company manufactures and supplies made-to-order biomedicine. Services mandatorily rendered prior to a production of biomedicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of biomedicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

The Company provides cell line and upstream/downstream process development services. The Company recognizes cell line and upstream/downstream process development services as distinct performance obligations.

(b) Performance obligation satisfied over time

- CMO business

Goods manufactured by the Company do not have an alternative use to the Company, and it has an enforceable right to payment for performance completed to date. This is because that the Company produces biomedicine at a quality that a customer requires and is entitled to

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reimbursement of the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Company recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

- CDO business

Revenue is recognized over the contract period as a customer simultaneously receives and consumes the benefits provided by the Company as the Company performs research and development services.

(c) Costs to fulfill a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future, and the costs are expected to be recovered, the costs are recognized as assets. And the costs to fulfil a contract are recognized as cost of revenue based on the percentage of completion.

(d) Contract assets and contract liabilities

- CMO business

The Company recognizes the amount of the advance consideration by customers related to the transfer of technology or engineering batch production as contract liabilities and related costs as costs to fulfil a contract. Such activities are required in advance for the production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Company estimates the amount of consideration to which the Company will be entitled to in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

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(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

2.24 Leases

(a) Lessor

Lease income from operating leases where the Company is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) Lessee

The Company leases various offices, equipment and vehicles. Lease contracts are typically made for a fixed periods of 2 to 3 years, but may have extension options. Contracts may contain both lease and non-lease components. However, for leases of real estate for which the Company is lessee, the Company applies the practical expedient which has elected not to separate lease and non-lease components and instead accounts for these as a single lease component. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Extension and termination options are included in a number of leases across the Company. These terms are used to maximize operational flexibility in terms of managing contracts. The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company. Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability measurement also include payments to be made in the option periods if the lessee is reasonably certain to exercise the option to extend the lease.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Company is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and

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adjusted against the right-of-use asset.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Company is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life. The Company elected not to apply that revaluation model to buildings held by the Company that are presented in the right-of-use assets.

Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprised of IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

2.25 Approval of Issuance of the Financial Statements

The financial statements 2024 were approved for issue by the Board of Directors on January 22, 2025 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Significant Accounting Estimates and Assumptions

The preparation of financial statements requires the Company to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Company's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it can contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in the relevant notes.

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(a) Income taxes

The Company's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 28).

If certain portion of the taxable income is not used for investments or increase in wages or dividends in accordance with the *Tax System for Recirculation of Corporate Income*, the Company is liable to pay additional income tax calculated based on the tax laws. The new tax system is effective for three years from 2015. Accordingly, the measurement of current and deferred income tax is affected by the tax effects from the new tax system. As the Company's income tax is dependent on the investments, increase in wages and dividends, there is an uncertainty in measuring the final tax effects.

(b) Impairment of investments in subsidiaries

The Company reviews whether there are any impairment indicators of investments in subsidiaries annually at the end of each reporting period. An impairment assessment is performed when it is determined that there is an indicator of impairment or considering the material amount of investments at the end of every year. The carrying value is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. An impairment loss is recognized immediately as an expense and is subsequently reversed as the recoverable amount of the investment subsequently increases.

(c) Impairment of costs to fulfill a contract

The Company reviews whether there are any impairment indicators of costs to fulfil a contract at the end of each reporting period. The Company recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfil a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Net defined benefit asset

The present value of net defined benefit asset depends on a number of factors that are determined on an actuarial basis using a number of assumptions including the discount rate (Note 21).

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4. Operating Segments

The Company has disclosed information related to the operating segment in the financial statements in accordance with Korean IFRS 1108. The Company has one reportable segment, 'CDMO (Contract Development and Manufacturing Organization)', as of December 31, 2024.

Details of customers, who contribute over 10% of the Company's total revenue for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Client A	₩ 410,144,688,023	₩ 337,936,128,718
Client B	487,523,553,090	264,464,556,477
Client C	358,915,729,494	207,226,338,150
Client D	76,931,963,611	432,677,504,366
Client E	203,421,935,363	310,210,009,194

Geographic revenue for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Domestic	₩ 558,086,309,485	₩ 336,817,832,284
Europe	2,035,771,049,122	1,749,613,523,509
United States	822,631,938,995	772,217,979,387
Other	80,656,378,180	80,106,345,549
	<u>₩ 3,497,145,675,782</u>	<u>₩ 2,938,755,680,729</u>

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5. Financial Instruments

(a) Financial assets

Categories of financial assets as of December 31, 2024 and 2023, are as follows:

(in Korean won)

		2024	
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 299,588,328,642	₩ 299,588,328,642
Short-term financial instruments	-	900,000,000,000	900,000,000,000
Trade and other receivables ¹	-	699,488,121,593	699,488,121,593
Deposits provided	-	24,105,411,518	24,105,411,518
Derivative assets	-	-	-
	-	1,923,181,861,753	1,923,181,861,753
Non-current assets			
Long-term financial instruments	-	6,000,000	6,000,000
Trade and other receivables	-	5,880,446,322	5,880,446,322
Deposits provided	-	24,379,812,613	24,379,812,613
	-	30,266,258,935	30,266,258,935
	₩ -	₩ 1,953,448,120,688	₩ 1,953,448,120,688

(in Korean won)

		2023	
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 230,790,684,551	₩ 230,790,684,551
Short-term financial instruments	-	1,650,000,000,000	1,650,000,000,000
Trade and other receivables ¹	-	350,271,461,900	350,271,461,900
Deposits provided	-	32,475,004,012	32,475,004,012
Derivative assets	4,512,654,027	-	4,512,654,027
	4,512,654,027	2,263,537,150,463	2,268,049,804,490
Non-current assets			
Long-term financial instruments	-	5,186,000,000	5,186,000,000
Trade and other receivables	-	10,050,690,285	10,050,690,285
Deposits provided	-	16,966,656,089	16,966,656,089
	-	32,203,346,374	32,203,346,374
	₩ 4,512,654,027	₩ 2,295,740,496,837	₩ 2,300,253,150,864

¹ The amounts exclude taxes, public utilities charges, and other account receivables from employees.

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(b) Financial liabilities

Categories of financial liabilities as of December 31, 2024 and 2023, are as follows:

(in Korean won)

		2024			
	Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total	
Current liabilities					
Trade and other payables ¹	₩ -	₩ 966,580,156,155	₩ -	₩ 966,580,156,155	
Debentures	-	-	-	-	
Short-term borrowings	-	-	-	-	
Current portion of long-term borrowings	-	-	-	-	
Lease liabilities	-	-	137,063,053,812	137,063,053,812	
	-	966,580,156,155	137,063,053,812	1,103,643,209,967	
Non-current liabilities					
Debentures	-	917,756,707,992	-	917,756,707,992	
Derivative liabilities	5,134,918,626	-	-	5,134,918,626	
Lease liabilities	-	-	6,776,948,384	6,776,948,384	
	5,134,918,626	917,756,707,992	6,776,948,384	929,668,575,002	
	₩ 5,134,918,626	₩ 1,884,336,864,147	₩ 143,840,002,196	₩ 2,033,311,784,969	

¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

(in Korean won)

		2023			
	Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total	
Current liabilities					
Trade and other payables ¹	₩ -	₩ 888,790,397,835	₩ -	₩ 888,790,397,835	
Debentures	-	379,723,014,266	-	379,723,014,266	
Short-term borrowings	-	220,000,000,000	-	220,000,000,000	
Current portion of long-term borrowings	-	208,682,000,000	-	208,682,000,000	
Lease liabilities	-	-	142,466,812,128	142,466,812,128	
	-	1,697,195,412,101	142,466,812,128	1,839,662,224,229	
Non-current liabilities					
Trade and other payables ¹	-	-	-	-	
Debentures	-	119,782,549,508	-	119,782,549,508	
Long-term borrowings	-	-	-	-	
Derivative liabilities	24,643,703,711	-	-	24,643,703,711	
Lease liabilities	-	-	135,737,149,042	135,737,149,042	
	24,643,703,711	119,782,549,508	135,737,149,042	280,163,402,261	
	₩ 24,643,703,711	₩ 1,816,977,961,609	₩ 278,203,961,170	₩ 2,119,825,626,490	

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¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

(c) The fair values of financial instruments

The fair values of financial instruments, together with the carrying amounts shown in the statements of financial position as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024		2023	
	Carrying amount ¹	Fair value	Carrying amount ¹	Fair value
Assets measured at fair value				
Derivative assets	₩ -	₩ -	₩ 4,512,654,027	₩ 4,512,654,027
	-	-	4,512,654,027	4,512,654,027
Assets measured at amortized cost				
Cash and cash equivalents	299,588,328,642	299,588,328,642	230,790,684,551	230,790,684,551
Short-term financial instruments	900,000,000,000	900,000,000,000	1,650,000,000,000	1,650,000,000,000
Long-term financial instruments	6,000,000	6,000,000	5,186,000,000	5,186,000,000
Trade and other receivables	705,368,567,915	705,368,567,915	360,322,152,185	360,322,152,185
Deposits provided	48,485,224,131	48,485,224,131	49,441,660,101	49,441,660,101
	<u>1,953,448,120,688</u>	<u>1,953,448,120,688</u>	<u>2,295,740,496,837</u>	<u>2,295,740,496,837</u>
	₩ 1,953,448,120,688	₩ 1,953,448,120,688	₩ 2,300,253,150,864	₩ 2,300,253,150,864
Liabilities carried at fair value				
Derivative liabilities	₩ 5,134,918,626	₩ 5,134,918,626	₩ 24,643,703,711	₩ 24,643,703,711
Liabilities carried at amortized cost				
Trade and other payables	966,580,156,155	966,580,156,155	888,790,397,835	888,790,397,835
Debentures	917,756,707,992	917,756,707,992	499,505,563,774	499,505,563,774
Borrowings	-	-	428,682,000,000	428,682,000,000
	<u>1,884,336,864,147</u>	<u>1,884,336,864,147</u>	<u>1,816,977,961,609</u>	<u>1,816,977,961,609</u>
	₩ 1,889,471,782,773	₩ 1,889,471,782,773	₩ 1,841,621,665,320	₩ 1,841,621,665,320

¹ The Company used the carrying amount as a proxy for fair value because it is a reasonable approximation of fair value.

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(d) Fair value hierarchy

Fair value hierarchy classifications of the financial instruments that are measured at fair value as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024			
	Level 1	Level 2	Level 3	Total
Financial assets				
Derivative assets	₩ -	₩ -	₩ -	-
Financial liabilities				
Derivative liabilities		-	5,134,918,626	5,134,918,626

<i>(in Korean won)</i>	2023			
	Level 1	Level 2	Level 3	Total
Financial assets				
Derivative assets	₩ -	₩ 4,512,654,027	₩ -	₩ 4,512,654,027
Financial liabilities				
Derivative liabilities		-	24,643,703,711	24,643,703,711

(e) Valuation techniques and inputs

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 2, 3 as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	Fair value		Levels	Valuation techniques	Significant unobservable inputs
	2024	2023			
Derivative assets (currency interest swap)	₩ -	₩ 4,512,654,027	2	Discount cash flow model	Currency forward rate, discount rate, interest rate and others
Derivative liabilities (contingent considerations in the stock purchase)	5,134,918,626	24,643,703,711	3	Option model	Discount rate and others

(f) Valuation Processes for Fair Value Measurements Categorized as Level 3

The Company's finance department operates a separate team that performs the fair value measurements required for financial reporting purposes, including level 3 fair values. Discussions of valuation process and result are held at reporting date, in line with the Company's end of each reporting periods.

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(g) Sensitivity analysis of financial instruments is performed to measure favourable and unfavourable changes in the fair value of financial instruments which are affected by the unobservable parameters, using a statistical technique. When the fair value is affected by more than two input parameters, the most favourable or most unfavourable amounts are presented.

(in Korean won)

Inputs ¹	Volatility	Favorable changes	Unfavorable changes
Discount rate	0.50%	₩ 105,792,594	₩ (52,466,263)

¹ For derivative liabilities, changes in their fair value are calculated by increasing or decreasing significant unobservable inputs among the input variables used to calculate the fair value of the underlying assets.

(h) Net Gains or Losses by Category of Financial Instruments

Net gains or losses on each category of financial instruments for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

	Interest income (expenses)		Gain (loss) on valuation		Other income (expenses) ¹		Net income (loss)	
	2024	2023	2024	2023	2024	2023	2024	2023
Financial assets at								
amortized cost	₩ 54,074,763,167	₩ 90,298,932,094	₩ -	₩ -	₩ (20,279,755,594)	₩ (22,100,519,149)	₩ 33,795,007,573	₩ 68,198,412,945
Derivative assets	-	-	1,086,047,835	1,962,774,713	(459,701,862)	(1,415,191,047)	626,345,973	547,583,666
Financial liabilities at								
amortized cost	(31,677,527,625)	(47,983,901,661)	-	-	68,491,696,202	(7,825,805,573)	36,814,168,577	(55,809,707,234)
Derivative liabilities	-	-	19,508,785,085	(1,909,712,375)	-	-	19,508,785,085	(1,909,712,375)
Other liabilities	(2,399,732,879)	(7,830,242,554)	-	-	-	-	(2,399,732,879)	(7,830,242,554)
	₩ 19,997,502,663	₩ 34,484,787,879	₩ 20,594,832,920	₩ 53,062,338	₩ 47,752,238,746	₩ (31,341,515,769)	₩ 88,344,574,329	₩ 3,196,334,448

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, gain (loss) on transactions of derivatives and bad debt expenses(reversal) on trade and other receivables.

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6. Cash and Cash Equivalents

Cash and cash equivalents as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Cash equivalents	₩ 299,588,328,642	₩ 230,790,684,551

7. Restricted Financial Instruments

Restriction of financial instruments as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023	Note
Long-term financial instruments	₩ 6,000,000	₩ 6,000,000	Deposits on checking accounts
	-	5,180,000,000	Pledged amount
	<u>₩ 6,000,000</u>	<u>₩ 5,186,000,000</u>	

8. Trade and Other Receivables

Details of trade and other receivables as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024		
	Gross amount	Allowance for doubtful account¹	Net amount
Trade receivables	₩ 732,461,341,025	₩ (36,461,519,034)	₩ 695,999,821,991
Other receivables	87,472,525,577	(360,165,817)	87,112,359,760
Accrued income	8,561,000,763	-	8,561,000,763
Total ²	<u>₩ 828,494,867,365</u>	<u>₩ (36,821,684,851)</u>	<u>₩ 791,673,182,514</u>

<i>(in Korean won)</i>	2023		
	Gross amount	Allowance for doubtful account¹	Net amount
Trade receivables	₩ 376,014,582,996	₩ (44,996,121,608)	₩ 331,018,461,388
Other receivables	48,244,917,646	(386,697,749)	47,858,219,897
Accrued income	21,406,946,790	-	21,406,946,790
Total ²	<u>₩ 445,666,447,432</u>	<u>₩ (45,382,819,357)</u>	<u>₩ 400,283,628,075</u>

¹ The Company recognized allowance for doubtful account by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 33).

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² Trade and other receivables for related parties as of December 31, 2024 and 2023, are ₩ 80,458 million and ₩ 22,442 million, respectively (Note 31).

9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2024 and 2023, are as follows:

(in Korean won)	2024			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 314,355,551,157	₩ 86,987,018,289	₩ (68,447,677,608)	₩ 332,894,891,838
Contract assets – unbilled ¹	24,791,698,034	11,748,097,179	(6,821,060,568)	29,718,734,645
Contract liabilities	353,873,746,413	241,321,379,245	(138,974,755,730)	456,220,369,928

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

(in Korean won)	2023			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 257,004,833,781	₩ 96,773,734,393	₩ (39,423,017,017)	₩ 314,355,551,157
Contract assets – unbilled ¹	47,334,764,538	13,402,570,012	(35,945,636,516)	24,791,698,034
Contract liabilities	289,682,040,048	177,793,746,475	(113,602,040,110)	353,873,746,413

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

Costs incurred in fulfilling a contract include costs for technology transfer and production of trial batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not constitute a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Company's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Company recognizes any advance consideration received from a customer as contract liabilities, as the performance obligation is fulfilled over a period of time.

Impairment loss on costs incurred to fulfil a contract recognized in profit or loss during the years ended December 31, 2024 and 2023, amounts to ₩ 885 million and ₩ 1,283 million, respectively.

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Besides the above contract liabilities recognized, the Company classifies the amount received prior to transferring goods or services to the customer as 'advance receipts'. Changes in advance receipts for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)	2024			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 790,813,289,226	₩ 1,005,319,280,992	₩ (713,711,553,695)	₩ 1,082,421,016,523

(in Korean won)	2023			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 520,529,895,094	₩ 725,696,342,082	₩ (455,412,947,950)	₩ 790,813,289,226

10. Inventories

Details of inventories as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 531,501,045,812	₩ (4,610,844,971)	₩ 526,890,200,841
Work-in-process	496,743,374,438	(4,926,817,107)	491,816,557,331
Raw materials	646,280,976,932	(7,859,267,274)	638,421,709,658
Supplies	269,740,950,922	(43,913,904,110)	225,827,046,812
	<u>₩ 1,944,266,348,104</u>	<u>₩ (61,310,833,462)</u>	<u>₩ 1,882,955,514,642</u>

(in Korean won)	2023		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 387,366,618,704	₩ (5,830,210,246)	₩ 381,536,408,458
Work-in-process	418,120,763,169	(9,165,185,233)	408,955,577,936
Raw materials	635,512,285,376	(7,054,237,639)	628,458,047,737
Supplies	267,745,299,351	(8,089,361,199)	259,655,938,152
	<u>₩ 1,708,744,966,600</u>	<u>₩ (30,138,994,317)</u>	<u>₩ 1,678,605,972,283</u>

During the year ended December 31, 2024, the amount of inventories recognized as an expense is ₩ 1,640,618 million (2023: ₩ 1,340,004 million), and the amount includes loss on valuation of inventory for ₩ 56,337 million (2023: ₩ 12,413 million).

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11. Other Financial Assets

Details of other financial assets as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024		2023	
	Current	Non-current	Current	Non-current
Deposits provided	₩ 24,105,411,518	₩ 24,379,812,613	₩ 32,475,004,012	₩ 16,966,656,089
Derivative assets	-	-	4,512,654,027	-
	<u>₩ 24,105,411,518</u>	<u>₩ 24,379,812,613</u>	<u>₩ 36,987,658,039</u>	<u>₩ 16,966,656,089</u>

12. Other Assets

Details of other assets as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024		2023	
	Current	Non-current	Current	Non-current
Advance payments	₩ 673,255,600	₩ -	₩ 21,475,385	₩ -
Prepaid expenses	14,559,482,458	2,017,462,617	17,103,606,917	1,088,638,424
	<u>₩ 15,232,738,058</u>	<u>₩ 2,017,462,617</u>	<u>₩ 17,125,082,302</u>	<u>₩ 1,088,638,424</u>

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13. Investments in Subsidiaries and Associates

Investments in subsidiary and associates as of December 31, 2024 and 2023, are as follows:

(in Korean won)	Major business location	Primary business	Type	2024		2023	
				Book amount	Percentage of ownership	Book amount	Percentage of ownership
Samsung Biologics America, Inc.	The United States of America	Bio-medicine business	Subsidiary	₩ 11,914,000,000	100.00%	₩ 11,914,000,000	100.00%
Samsung Bioepis Co., Ltd.	Republic of Korea	Biosimilar research and commercialization	Subsidiary	3,265,179,974,094	100.00%	3,265,179,974,094	100.00%
SVIC No.54 New Technology Business Investment L.L.P.	Republic of Korea	Equity investment in the bio industry start-ups	Associate	49,500,000,000	33.00%	40,260,000,000	33.00%
SVIC No.64 New Technology Business Investment L.L.P.	Republic of Korea	Equity investment in the bio industry start-ups	Associate	1,632,262,500	24.75%	178,200,000	24.75%
				<u>₩3,328,226,236,594</u>		<u>₩3,317,532,174,094</u>	

Changes in investments in subsidiary, associate and joint venture for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)	2024			
	Beginning balance	Acquisition	Disposal	Ending balance
Samsung Biologics America, Inc.	₩ 11,914,000,000	₩ -	₩ -	₩ 11,914,000,000
Samsung Bioepis Co., Ltd.	3,265,179,974,094	-	-	3,265,179,974,094
SVIC No.54 New Technology Business Investment L.L.P. ¹	40,260,000,000	9,240,000,000	-	49,500,000,000
SVIC No.64 New Technology Business Investment L.L.P.	178,200,000	1,454,062,500	-	1,632,262,500
	<u>₩ 3,317,532,174,094</u>	<u>₩ 10,694,062,500</u>	<u>₩ -</u>	<u>₩ 3,328,226,236,594</u>

¹ The Company invested an additional ₩ 9,240 million in the SVIC No.54 New Technology Business Investment L.L.P on August 13, 2024 and completed the entire investment with a limit of ₩ 49,500 million.

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(in Korean won)

	2023			
	Beginning balance	Acquisition	Disposal	Ending balance
Samsung Biologics America, Inc.	₩ 11,914,000,000	₩ -	₩ -	₩ 11,914,000,000
Samsung Bioepis Co., Ltd.	3,265,179,974,094	-	-	3,265,179,974,094
Archigen Biotech Limited ¹	3,813,591,420	-	(3,813,591,420)	-
SVIC No.54 New Technology Business Investment L.L.P.	27,885,000,000	12,375,000,000	-	40,260,000,000
SVIC No.64 New Technology Business Investment L.L.P.	-	178,200,000	-	178,200,000
	₩ 3,308,792,565,514	₩ 12,553,200,000	₩ (3,813,591,420)	₩ 3,317,532,174,094

¹ In April 2023, the Company received the liquidation distribution from Archigen Biotech Limited and deducted it from the carrying amount of the investments. The liquidation of Archigen Biotech Limited was completed in September 2023.

14. Property, Plant and Equipment

Property, plant and equipment as of December 31, 2024 and 2023, consist of:

(in Korean won)

	2024		
	Acquisition cost	Accumulated depreciation	Book amount
Land	₩ 8,028,382,410	₩ -	₩ 8,028,382,410
Buildings	1,775,720,846,814	(210,155,137,004)	1,565,565,709,810
Structures	12,289,343,670	(2,523,511,547)	9,765,832,123
Machinery	2,585,366,585,134	(998,332,936,581)	1,587,033,648,553
Vehicles	1,461,971,542	(1,267,235,970)	194,735,572
Others	135,123,198,346	(81,426,854,216)	53,696,344,130
Construction-in-progress	1,823,298,445,975	-	1,823,298,445,975
	₩ 6,341,288,773,891	₩ (1,293,705,675,318)	₩ 5,047,583,098,573

(in Korean won)

	2023		
	Acquisition cost	Accumulated depreciation	Book amount
Land	₩ 8,028,382,410	₩ -	₩ 8,028,382,410
Buildings	1,763,469,328,401	(166,052,890,601)	1,597,416,437,800
Structures	11,890,454,190	(2,220,821,354)	9,669,632,836
Machinery	2,481,905,553,795	(807,604,211,475)	1,674,301,342,320
Vehicles	1,368,911,384	(1,183,675,178)	185,236,206
Others	117,339,261,116	(56,320,869,298)	61,018,391,818
Construction-in-progress	192,257,666,197	-	192,257,666,197
	₩ 4,576,259,557,493	₩ (1,033,382,467,906)	₩ 3,542,877,089,587

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Changes in property, plant and equipment for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)		2024					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance	
Land	₩ 8,028,382,410	₩ -	₩ -	₩ -	₩ -	₩ 8,028,382,410	
Buildings	1,597,416,437,800	627,020	(56,177,092)	(44,121,829,635)	12,326,651,717	1,565,565,709,810	
Structures	9,669,632,836	-	-	(302,690,193)	398,889,480	9,765,832,123	
Machinery	1,674,301,342,320	-	(1,798,279,456)	(203,438,797,628)	117,969,383,317	1,587,033,648,553	
Vehicles	185,236,206	15,460,455	(13,083,250)	(121,777,542)	128,899,703	194,735,572	
Others	61,018,391,818	108,940,000	(189,100,085)	(28,095,297,363)	20,853,409,760	53,696,344,130	
Construction-in-progress	192,257,666,197	1,782,060,897,255	-	-	(151,020,117,477)	1,823,298,445,975	
	<u>₩ 3,542,877,089,587</u>	<u>₩ 1,782,185,924,730</u>	<u>₩ (2,056,639,883)</u>	<u>₩ (276,080,392,361)</u>	<u>₩ 657,116,500</u>	<u>₩ 5,047,583,098,573</u>	

(in Korean won)		2023					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance	
Land	₩ 8,028,382,410	₩ -	₩ -	₩ -	₩ -	₩ 8,028,382,410	
Buildings	1,071,146,681,903	18,921,717,640	(631,402,835)	(40,208,176,851)	548,187,617,943	1,597,416,437,800	
Structures	9,029,711,446	-	-	(270,078,610)	910,000,000	9,669,632,836	
Machinery	1,151,010,893,479	1,370,273,730	(2,680,154,637)	(182,582,596,489)	707,182,926,237	1,674,301,342,320	
Vehicles	283,357,214	-	(320,833)	(97,800,175)	-	185,236,206	
Others	27,568,023,031	7,748,788,000	(325,956,098)	(12,578,887,794)	38,606,424,679	61,018,391,818	
Construction-in-progress	816,478,387,284	672,876,191,534	(4,205,149,373)	-	(1,292,891,763,248)	192,257,666,197	
	<u>₩ 3,083,545,436,767</u>	<u>₩ 700,916,970,904</u>	<u>₩ (7,842,983,776)</u>	<u>₩ (235,737,539,919)</u>	<u>₩ 1,995,205,611</u>	<u>₩ 3,542,877,089,587</u>	

Classification of depreciation for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)	2024	2023
Cost of revenue	₩ 253,807,786,000	₩ 224,123,783,960
Selling, general and administrative expenses	<u>22,272,606,361</u>	<u>11,613,755,959</u>
	<u>₩ 276,080,392,361</u>	<u>₩ 235,737,539,919</u>

During the year ended December 31, 2024, the Company has capitalized borrowing costs amounting to ₩ 18,192 million (2023: ₩ 14,705 million) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of general-purpose borrowing costs eligible for capitalization is 3.22%~3.64%. (2023: 3.26%~3.56%).

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15. Intangible Assets

Intangible assets as of December 31, 2024 and 2023, consist of:

(in Korean won)

(In Korean won)		2024								
		Acquisition cost		Accumulated amortization		Accumulated Impairment		Government grants		Book amount
Software	₩	105,626,610,376	₩	(61,835,571,421)	₩	-	₩	-	₩	43,791,038,955
Others		3,726,596,309		(3,629,697,042)		-		-		96,899,267
Memberships		13,645,427,182		-		(521,756,000)		-		13,123,671,182
Trademarks		143,397,046		(33,687,875)		-		-		109,709,171
Patent rights		8,983,000		(1,734,650)		-		-		7,248,350
Land use rights		69,525,088,429		(18,655,898,734)		-		(50,869,189,695)		-
Construction-in-progress		8,045,728,698		-		-		-		8,045,728,698
	₩	200,721,831,040	₩	(84,156,589,722)	₩	(521,756,000)	₩	(50,869,189,695)	₩	65,174,295,623

(in Korean won)

(In Korean won)		2023								
	Acquisition cost		Accumulated amortization		Accumulated Impairment		Government grants		Book amount	
Software	₩	85,413,297,574	₩	(49,450,928,182)	₩	-	₩	-	₩	35,962,369,392
Others		3,726,596,309		(3,088,207,101)		-		-		638,389,208
Memberships		10,768,097,192		-		(521,756,000)		-		10,246,341,192
Trademarks		133,338,934		(19,242,077)		-		-		114,096,857
Patent rights		8,983,000		(836,350)		-		-		8,146,650
Land use rights		69,525,088,429		(17,613,022,407)		-		(51,912,066,022)		-
Construction-in-progress		6,811,186,590		-		-		-		6,811,186,590
	₩	176,386,588,028	₩	(70,172,236,117)	₩	(521,756,000)	₩	(51,912,066,022)	₩	53,780,529,889

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Changes in intangible assets for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

(in Korean won)

	2024							
	Beginning balance	Acquisition	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance	
Software	₩ 35,962,369,392	₩ 802,750,000	₩ (367,667)	₩ (12,384,275,572)	₩ -	₩ 19,410,562,802	₩ 43,791,038,955	
Others	638,389,208	-	-	(541,489,941)	-	-	96,899,267	
Memberships	10,246,341,192	2,877,329,990	-	-	-	-	13,123,671,182	
Trademarks	114,096,857	496,892	-	(14,445,798)	-	9,561,220	109,709,171	
Patent rights	8,146,650	-	-	(898,300)	-	-	7,248,350	
Land use rights	-	-	-	(1,042,876,327)	1,042,876,327	-	-	
Construction-in-progress	6,811,186,590	21,311,782,630	-	-	-	(20,077,240,522)	8,045,728,698	
	₩ 53,780,529,889	₩ 24,992,359,512	₩ (367,667)	₩ (13,983,985,938)	₩ 1,042,876,327	₩ (657,116,500)	₩ 65,174,295,623	

(in Korean won)

(in Korean won)

	2023													
	Beginning balance		Acquisition		Disposal and others		Amortization		Amortization of government grants		Others		Ending balance	
Software	₩	20,392,042,572	₩	356,800,000	₩	(5,076,000)	₩	(8,814,920,523)	₩	-	₩	24,033,523,343	₩	35,962,369,392
Others		1,179,743,164		560,125,440		(1,000)		(550,811,729)		-		(550,666,667)		638,389,208
Memberships		10,018,506,612		-		-		-		-		227,834,580		10,246,341,192
Trademarks		60,179,925		-		-		(10,171,757)		-		64,088,689		114,096,857
Patent rights		-		-		-		(836,350)		-		8,983,000		8,146,650
Land use rights		-		-		-		(1,390,501,769)		1,390,501,769		-		-
Construction-in-progress		7,786,149,640		25,164,005,506		(360,000,000)		-		-		(25,778,968,556)		6,811,186,590
	₩	39,436,621,913	₩	26,080,930,946	₩	(365,077,000)	₩	(10,767,242,128)	₩	1,390,501,769	₩	(1,995,205,611)	₩	53,780,529,889

Classification of amortization for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

	2024	2023
Cost of revenue	₩ 1,985,465,301	₩ 1,829,664,000
Selling, general and administrative expenses	<u>10,955,644,310</u>	<u>7,547,076,359</u>
	<u>₩ 12,941,109,611</u>	<u>₩ 9,376,740,359</u>

Total research and development costs recognized as expense for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

(in Korean won)	2024		2023	
	Cost of revenue	Selling, general and administrative expenses	Cost of revenue	Selling, general and administrative expenses
Ordinary research expense	₩ -	₩ 36,710,810,368	₩ -	₩ 21,258,898,518

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16. Debenture and Borrowings

Debentures and borrowings as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024		2023	
	Current	Non-current	Current	Non-current
Debentures	₩ -	₩ 917,756,707,992	₩ 379,723,014,266	₩ 119,782,549,508
Short-term borrowings	-	-	220,000,000,000	-
Long-term borrowings	-	-	208,682,000,000	-
	₩ -	₩ 917,756,707,992	₩ 808,405,014,266	₩ 119,782,549,508

Details of debentures as of December 31, 2024 and 2023, are as follows:

(in Korean won)	Issuance date	Maturity date	Interest rate (%)	2024	2023
The 7-1st public offering of debenture(non-guaranteed)	2021-09-03	2024-09-03	-	₩ -	₩ 380,000,000,000
The 7-2nd public offering of debenture(non-guaranteed)	2021-09-03	2026-09-03	2.19	120,000,000,000	120,000,000,000
The 8-1st public offering of debenture(non-guaranteed)	2024-10-11	2026-10-08	3.27	200,000,000,000	-
The 8-2nd public offering of debenture(non-guaranteed)	2024-10-11	2027-10-08	3.38	600,000,000,000	-
Discount on debentures				(2,243,292,008)	(494,436,226)
				917,756,707,992	499,505,563,774
Current portion				-	(379,723,014,266)
				₩ 917,756,707,992	₩ 119,782,549,508

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Details of short-term borrowings as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	Interest rate (%)	2024		2023	
Kookmin Bank and 2 others	-	₩	-	₩	220,000,000,000
		₩	-	₩	220,000,000,000

Details of long-term borrowings as of December 31, 2024 and 2023, are as follows:

(in Korean won)	Interest rate (%)	2024		2023	
Long-term borrowings in Korean won					
Hana Bank and 3 others	-	₩	-	₩	170,000,000,000
Current portion			-		(170,000,000,000)
			-		-
Long-term borrowings in foreign currency					
Woori Bank	-		-		38,682,000,000
Current portion			-		(38,682,000,000)
			-		-
		₩	-	₩	-

The repayment schedule of debentures and borrowings as of December 31, 2024, are as follows:

<i>(in Korean won)</i>	Debentures		Short-term borrowings		Long-term borrowings		Total
2026.01.01 ~ 2026.12.31	₩	320,000,000,000	₩	-	₩	-	₩ 320,000,000,000
2027.01.01 ~ 2027.12.31		600,000,000,000		-		-	600,000,000,000
	₩	920,000,000,000	₩	-	₩	-	₩ 920,000,000,000

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17. Trade and Other Payables

Details of trade and other payables as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024		2023	
	Current	Non-current	Current	Non-current
Trade payables	₩ 173,761,470,141	₩ -	₩ 171,427,232,054	₩ -
Liabilities under supplier finance arrangements ¹	540,599,044,293	-	27,882,955,115	-
Other payables	137,644,677,038	-	651,621,472,481	-
Accrued expenses	274,440,438,263	17,502,274,248	177,756,406,335	11,661,214,313
Total ²	₩ 1,126,445,629,735	₩ 17,502,274,248	₩ 1,028,688,065,985	₩ 11,661,214,313

¹ Liabilities under supplier finance arrangements classified as other payables are generally settled within 120 days (Note 30).

² Trade and other payables to related parties as of December 31, 2024 and 2023, are ₩ 554,989 million and ₩ 46,716 million, respectively (Note 31).

18. Emission Liability

(a) Emissions rights

The Company has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. The quantity of emission rights for the 3rd planning periods (2021 ~ 2025) granted free of charge is as follows:

(in tCO ₂ -eq)	2021	2022	2023 ¹	2024	2025	Total
Allocation with nil consideration	123,815	157,435	206,647	121,247	121,247	730,391

¹In 2023, 84,254 units of emission rights of 2023 were additionally allocated for the Plant 4 site.

There are no emission rights provided as collateral as of December 31, 2024.

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Changes in emission permits quantities and the carrying amounts for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won, tCO₂-eq)

	2024					
	2023		2024		2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/ Allocation with nil consideration	206,647	₩ -	121,247	₩ -	121,247	₩ -
Purchase / Disposal	8,608	78,332,800	-	-	-	-
Borrowing / Carrying forward	-	-	-	-	-	-
Surrendered to the government ¹	(215,255)	(78,332,800)	-	-	-	-
At December 31	-	₩ -	121,247	₩ -	121,247	₩ -

¹ The quantities of emission permits at the end of 2024 will be submitted to the government after certification in 2024.

(in Korean won, tCO₂-eq)

	2023					
	2022		2023		2024~2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/ Allocation with nil consideration	157,435	₩ -	122,393	₩ -	242,494	₩ -
Purchase / Disposal	6,558	83,164,600	-	-	-	-
Borrowing / Carrying forward	-	-	-	-	-	-
Surrendered to the government	(163,993)	(83,164,600)	-	-	-	-
At December 31	-	₩ -	122,393	₩ -	242,494	₩ -

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(b) Emission liability

Changes in emission liability for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 863,719,120	₩ 500,890,270	₩ (863,719,120)	₩ 500,890,270

<i>(in Korean won)</i>	2023			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 538,848,000	₩ 863,719,120	₩ (538,848,000)	₩ 863,719,120

The Company estimated that it emitted 211,019 tons of carbon dioxide during the year ended December 31, 2024.

19. Leases

The amounts relating to leases recognized as of December 31, 2024 and 2023 on the statement of financial position, are as follows:

<i>(in Korean won)</i>	2024	2023
Right-of-use assets¹		
Land	₩ 445,964,408,073	₩ 439,712,796,813
Buildings	15,194,833,175	18,589,095,338
Machinery	-	19,328,225
Vehicles	295,893,657	356,279,528
	<u>₩ 461,455,134,905</u>	<u>₩ 458,677,499,904</u>
Lease liabilities		
Current lease liabilities	₩ 137,063,053,812	₩ 142,466,812,128
Non-current lease liabilities	6,776,948,384	135,737,149,042
	<u>₩ 143,840,002,196</u>	<u>₩ 278,203,961,170</u>

¹ Additions to the right-of-use assets during the years ended December 31, 2024 and 2023, were ₩ 12,787 million and ₩ 16,667 million, respectively.

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The amounts relating to leases recognized for the years ended December 31, 2024 and 2023, on the statement of comprehensive income, are as follows:

<i>(in Korean won)</i>	2024	2023
Statement of income:		
Depreciation of right-of-use assets		
Land	₩ 10,009,516,076	₩ 9,782,111,537
Buildings	331,317,547	653,010,366
Machinery	8,829,889,801	8,081,239,185
Vehicle	16,710,925	67,146,060
	831,597,803	980,715,926
Interest expenses	2,399,732,879	7,830,242,554
Expense relating to variable lease payments not included in lease liabilities	3,845,429,181	3,235,932,032
Expense relating to leases of low-value assets	1,512,734,310	1,152,602,613
	₩ 17,767,412,446	₩ 22,000,888,736

Classification of depreciation of right-of-use assets for the years ended December 31, 2024 and 2023, is as follows:

<i>(in Korean won)</i>	2024	2023
Cost of revenue	₩ 7,534,666,304	₩ 7,216,415,651
Selling, general and administrative expenses	2,474,849,772	2,565,695,886
	₩ 10,009,516,076	₩ 9,782,111,537

The total cash outflows from leases in relation to lease liabilities, low-value assets and variable lease payments during the years ended December 31, 2024 and 2023, were ₩ 153,300 million and ₩ 160,937 million, respectively.

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20. Other Liabilities

Details of other liabilities as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024		2023	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 1,023,811,904,214	₩ 58,609,112,309	₩ 724,023,696,419	₩ 66,789,592,807
Withholdings	8,531,118,745	-	8,031,700,137	-
	<u>₩ 1,032,343,022,959</u>	<u>₩ 58,609,112,309</u>	<u>₩ 732,055,396,556</u>	<u>₩ 66,789,592,807</u>

21. Employee Benefit

Recognized assets and liabilities for employee benefits as of December 31, 2024 and 2023, are as follows:

(in Korean won)		2024	2023
Net defined benefit liabilities (asset)	Present value of defined benefit obligations	₩ 164,997,487,534	₩ 130,596,994,113
	Fair value of plan assets	(176,217,215,552)	(151,184,953,819)
		<u>(11,219,728,018)</u>	<u>(20,587,959,706)</u>
Trade and other payables	Accrued expenses and others ¹	159,865,473,580	139,897,668,150
	Long-term accrued expenses ¹	17,502,274,248	11,661,214,313
		<u>177,367,747,828</u>	<u>151,558,882,463</u>
		<u>₩ 166,148,019,810</u>	<u>₩ 130,970,922,757</u>

¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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Changes in net defined benefit liabilities (assets) for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)	Defined benefit obligations		Plan assets		Net defined benefit liabilities (asset)	
	2024	2023	2024	2023	2024	2023
Beginning balance	₩ 130,596,994,113	₩ 103,544,437,761	₩ (151,184,953,819)	₩ (132,169,916,615)	₩ (20,587,959,706)	₩ (28,625,478,854)
Included in profit or loss:						
- Current service cost	28,009,901,409	25,284,632,336	-	-	28,009,901,409	25,284,632,336
- Interest expense (income)	6,670,559,124	6,152,113,704	(7,863,913,908)	(7,999,261,680)	(1,193,354,784)	(1,847,147,976)
	<u>34,680,460,533</u>	<u>31,436,746,040</u>	<u>(7,863,913,908)</u>	<u>(7,999,261,680)</u>	<u>26,816,546,625</u>	<u>23,437,484,360</u>
Included in other comprehensive income or loss:						
- Remeasurement loss (gain)						
Actuarial loss (gain)						
arising from						
Demographic assumptions	-	1,746,304,727	-	-	-	1,746,304,727
Financial assumptions	6,162,313,503	3,953,987,190	-	-	6,162,313,503	3,953,987,190
Experience adjustment	2,912,917,265	(2,721,258,755)	-	-	2,912,917,265	(2,721,258,755)
- Loss on plan assets excluding interest income	-	-	2,624,924,080	2,194,653,930	2,624,924,080	2,194,653,930
	<u>9,075,230,768</u>	<u>2,979,033,162</u>	<u>2,624,924,080</u>	<u>2,194,653,930</u>	<u>11,700,154,848</u>	<u>5,173,687,092</u>
Others:						
- Contributions to plan assets	-	-	(25,202,846,375)	(18,728,825,464)	(25,202,846,375)	(18,728,825,464)
- Benefit payments	(9,265,816,130)	(8,045,318,520)	4,493,501,050	6,200,491,680	(4,772,315,080)	(1,844,826,840)
- Transfer from/to affiliated companies	1,254,771,040	1,263,497,170	(428,079,370)	(1,263,497,170)	826,691,670	-
- Other payments	<u>(1,344,152,790)</u>	<u>(581,401,500)</u>	<u>1,344,152,790</u>	<u>581,401,500</u>	<u>-</u>	<u>-</u>
	<u>(9,355,197,880)</u>	<u>(7,363,222,850)</u>	<u>(19,793,271,905)</u>	<u>(13,210,429,454)</u>	<u>(29,148,469,785)</u>	<u>(20,573,652,304)</u>
Ending balance	<u>₩ 164,997,487,534</u>	<u>₩ 130,596,994,113</u>	<u>₩ (176,217,215,552)</u>	<u>₩ (151,184,953,819)</u>	<u>₩ (11,219,728,018)</u>	<u>₩ (20,587,959,706)</u>

Details of plan assets as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024	2023
Cash and cash equivalents	₩ 176,217,215,552	₩ 151,184,953,819

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The expenses recognized as profit or loss related to defined benefit obligation for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024		2023	
Cost of revenue	₩	19,606,844,159	₩	17,647,413,314
Selling, general and administrative expenses		5,908,843,314		5,031,699,761
Construction-in-progress		1,300,859,152		758,371,285
	₩	26,816,546,625	₩	23,437,484,360

The expense recognized for the year ended December 31, 2024 in relation to defined contribution plan was ₩ 137 million (2023: ₩ 53 million).

The significant actuarial assumptions as of December 31, 2024 and 2023, are as follows:

<i>(in percentage, %)</i>	2024		2023	
Discount rate	4.89	%	5.40	%
Future salary increases	4.51	%	4.53	%

As of December 31, 2024 and 2023, the weighted average duration of the defined benefit obligation is 8.16 years and 7.98 years, respectively.

As of December 31, 2024, effects on the present value of defined benefit obligations if each of significant actuarial assumptions changes within potential reasonable range are as follows (if changed by 1%):

<i>(in Korean won)</i>	Salary growth rate		Discount rate	
	1% increase	1% decrease	1% increase	1% decrease
Impact on present value of defined benefit obligations	₩ 14,104,321,560	₩ (12,517,397,494)	₩ (12,026,735,358)	₩ 13,757,430,743

A reasonable estimate of the user contribution expected to be paid in the next year in relation to the defined benefit plan is ₩ 31,685 million.

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22. Share Capital and Reserves

Details of share capital as of December 31, 2024 and 2023, are summarized as follows:

<i>(in Korean won, in shares)</i>	2024	2023
Number of shares authorized	500,000,000	500,000,000
Par value	₩ 2,500	₩ 2,500
Number of shares issued	71,174,000	71,174,000
Share capital	₩ 177,935,000,000	₩ 177,935,000,000

There are no changes in the number of shares issued and outstanding shares for the years ended December 31, 2024 and 2023.

Details of share premium as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Additional paid-in capital	₩ 6,523,003,969,121	₩ 6,523,003,969,121
Other share premium	(850,578,848,000)	(850,578,848,000)
	<u>₩ 5,672,425,121,121</u>	<u>₩ 5,672,425,121,121</u>

Details of accumulated other comprehensive loss as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Remeasurements of net defined benefit liabilities	₩ (19,323,362,692)	₩ (10,615,840,578)

The appropriation of retained earnings for the year ended December 31, 2024, is expected to be appropriated at the shareholders' meeting on March 14, 2025. The appropriation date for the year ended December 31, 2023, was March 15, 2024.

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The appropriation of retained earnings for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Unappropriated retained earnings carried over from prior year	₩ 2,398,889,502,189	₩ 1,452,969,176,271
Profit for the year	1,050,966,501,040	945,920,325,918
Retained earnings available for appropriation	<u>3,449,856,003,229</u>	<u>2,398,889,502,189</u>
Appropriation of retained earnings	-	-
Unappropriated retained earnings to be carried forward	<u>₩ 3,449,856,003,229</u>	<u>₩ 2,398,889,502,189</u>

23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Revenue:		
Product sales	₩ 3,380,431,080,972	₩ 2,655,381,695,168
Other sales	<u>116,714,594,810</u>	<u>283,373,985,561</u>
	<u>₩ 3,497,145,675,782</u>	<u>₩ 2,938,755,680,729</u>
Cost of revenue:		
Cost of product sales	₩ 1,411,733,234,680	₩ 1,164,920,824,506
Cost of other sales ¹	<u>372,413,195,090</u>	<u>283,463,795,343</u>
	<u>₩ 1,784,146,429,770</u>	<u>₩ 1,448,384,619,849</u>

¹ Cost of other sales includes loss on abnormal capacity and (reversal of) loss on valuation of inventories.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Salaries	₩ 50,795,951,371	₩ 43,892,293,160
Bonuses	34,855,366,135	31,398,897,381
Retirement benefits	5,471,664,160	4,744,902,953
Employee welfare	21,723,864,000	18,720,604,785
Depreciation	18,528,957,278	9,133,357,218
Amortization of intangible assets	10,942,417,045	7,537,407,151
Repairs and maintenance	12,132,036,199	4,529,217,901
Supplies expenses	3,361,459,833	5,073,895,756
Utility expenses	1,621,298,814	1,013,778,415
Service fees	122,719,819,548	69,431,400,484
Training expenses	11,852,308,730	7,808,927,485
Electronic processing expenses	29,586,732,979	7,634,585,376
Taxes and dues	4,684,457,558	4,343,736,501
Insurance premium	10,437,743,873	7,849,386,364
Advertising expenses	7,180,411,234	7,414,258,692
Bad debt expenses	(6,379,525,563)	21,510,607,254
Research and development expenses	36,710,810,368	21,258,898,518
Others	15,347,950,600	12,886,912,445
	<u>₩ 391,573,724,162</u>	<u>₩ 286,183,067,839</u>

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25. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Changes in work-in-process and finished goods	₩ (222,757,038,377)	₩ (223,633,404,475)
Changes in costs to fulfill a contract	(18,539,340,681)	(57,350,717,376)
Raw materials and supplies used	783,149,196,632	651,946,599,282
Employee benefits	605,574,493,587	551,637,691,568
Depreciation and amortization	289,021,501,972	245,114,280,278
Supplies expenses	122,775,406,703	111,556,812,949
Utility expenses	89,627,978,570	78,033,548,775
Service fees	189,630,505,095	133,556,358,939
Others	337,237,450,431	243,706,517,748
Total cost of sales, and selling, general and administrative expenses ¹	<u>₩ 2,175,720,153,932</u>	<u>₩ 1,734,567,687,688</u>

¹ This is the sum of cosst of sales and selling, general and administrative expenses on the statements of Comprehensive Income.

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26. Other Income and Expenses

Details of other income for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Rental revenues	₩ 585,791,979	₩ 301,364,544
Fee revenues	194,279,338	349,042,373
Gain on disposal of property, plant and equipment	33,199,341	92,683,074
Gain on disposal of investments	-	368,217,855
Gain on lease cancellation	755,665	4,660,220
Miscellaneous gains	3,513,289,571	1,337,293,028
	<u>₩ 4,327,315,894</u>	<u>₩ 2,453,261,094</u>

Details of other expenses for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Donations	₩ 2,979,814,688	₩ 2,275,794,797
Loss on disposal of property, plant and equipment	1,460,266,006	823,494,165
Loss on retirement of property, plant and equipment	508,262,693	2,764,395,398
Loss on retirement of intangible assets	367,667	365,077,000
Miscellaneous losses	391,286,575	1,087,421,977
	<u>₩ 5,339,997,629</u>	<u>₩ 7,316,183,337</u>

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27. Finance Income and Costs

Details of finance income for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Interest income	₩ 54,074,763,167	₩ 90,298,932,094
Gain on valuation of derivatives	20,594,832,920	1,962,774,713
Gain on foreign currency translations	53,145,083,941	8,646,448,012
Gain on foreign currency transactions	<u>99,828,550,914</u>	<u>73,590,527,251</u>
	<u>₩ 227,643,230,942</u>	<u>₩ 174,498,682,070</u>

Details of finance costs for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Interest expenses	₩ 34,077,260,504	₩ 55,814,144,215
Loss on valuation of derivatives	-	1,909,712,375
Loss on transactions of derivatives	459,701,862	1,415,191,047
Loss on foreign currency translations	6,318,332,040	15,405,623,915
Loss on foreign currency transactions	<u>104,822,887,770</u>	<u>75,095,668,816</u>
	<u>₩ 145,678,182,176</u>	<u>₩ 149,640,340,368</u>

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28. Income Tax Expense

Income tax expense for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Current income tax expense:		
Current income tax	₩ 391,795,644,066	₩ 256,265,840,638
Adjustments	(4,020,317,370)	66,938,541
Deferred tax expense:		
Temporary differences and others	(39,356,571,589)	20,646,381,777
Income taxes recognized directly in equity	<u>2,992,632,734</u>	<u>1,283,925,626</u>
Income tax expense	<u>₩ 351,411,387,841</u>	<u>₩ 278,263,086,582</u>

The relationship between tax expense and accounting profit for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Profit before income tax	₩ 1,402,377,888,881	₩ 1,224,183,412,500
Income taxes at statutory tax rate	359,865,762,665	312,822,420,900
Adjustments:		
Non-deductible expense	135,079,116	145,014,628
Tax credit	(9,954,747,684)	(33,638,337,853)
Effect of change in average tax rate	226,696,965	(308,112,235)
Others	<u>1,138,596,779</u>	<u>(757,898,858)</u>
Income tax expense	<u>₩ 351,411,387,841</u>	<u>₩ 278,263,086,582</u>
Average effective tax rate	25.06%	22.73%

Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024			2023		
	Before tax	Tax expense	Net of tax	Before tax	Tax expense	Net of tax
Net defined benefit plan						
remeasurements	₩ (11,700,154,848)	₩ 2,992,632,734	₩ (8,707,522,114)	₩ (5,173,687,092)	₩ 1,283,925,626	₩ (3,889,761,466)

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Changes in deferred tax assets (liabilities) for the years ended December 31, 2024 and 2023, are as follows:

	2024					
	December 31, 2024					
	January 1, 2024	Profit or loss	Other comprehensive income	Net	Deferred tax assets	Deferred tax liabilities
Accrued expenses	₩ 15,363,839,312	₩ 25,181,318,150	₩ -	₩ 40,545,157,462	₩ 40,545,157,462	₩ -
Net defined benefit obligations	(5,311,693,604)	(564,409,231)	2,992,632,734	(2,883,470,101)	-	(2,883,470,101)
Loss (gain) on foreign currency translations	5,409,170,469	(16,864,787,907)	-	(11,455,617,438)	-	(11,455,617,438)
Inventories	7,869,681,252	7,970,607,682	-	15,840,288,934	15,840,288,934	-
Bad debt expenses	10,625,783,919	(1,434,326,385)	-	9,191,457,534	9,191,457,534	-
Depreciation	(6,781,823,388)	2,896,187,785	-	(3,885,635,603)	-	(3,885,635,603)
Provision for performance bonus	30,030,227,768	4,232,615,285	-	34,262,843,053	34,262,843,053	-
Gain from assets contributed	743,055,816	(198,437,424)	-	544,618,392	544,618,392	-
Accrued income	(3,926,698,146)	2,228,641,559	-	(1,698,056,587)	-	(1,698,056,587)
Emission liability	222,839,533	(94,110,734)	-	128,728,799	128,728,799	-
Contract assets	(87,499,990,292)	(5,691,711,715)	-	(93,191,702,007)	-	(93,191,702,007)
Contract liabilities	91,299,426,575	25,949,208,497	-	117,248,635,072	117,248,635,072	-
Lease liabilities / Right-of-use assets	138,098,878	(89,295,120)	-	48,803,758	48,803,758	-
Intangible assets	240,556,124	(60,251,285)	-	180,304,839	180,304,839	-
Gain (loss) on valuation of derivatives	(1,164,264,739)	1,164,264,739	-	-	-	-
Valuation option of derivatives	1,058,243,425	(5,017,859,486)	-	(3,959,616,061)	-	(3,959,616,061)
Property, plant and equipment	158,088,597	(94,474,422)	-	63,614,175	63,614,175	-
Tax credit carryforward	3,149,240,923	(3,149,241,134)	-	(211)	-	(211)
Deferred tax assets (liabilities)	61,623,782,422	36,363,938,854	2,992,632,734	100,980,354,010	218,054,452,018	(117,074,098,008)

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	2023						
	December 31, 2023						
	January 1, 2023	Profit or loss	Other comprehensive income	Net	Deferred tax assets	Deferred tax liabilities	
Accrued expenses	₩ 13,759,027,160	₩ 1,604,812,152	₩ -	₩ 15,363,839,312	₩ 15,363,839,312	₩ -	
Net defined benefit obligations	(7,356,748,065)	761,128,835	1,283,925,626	(5,311,693,604)	-	(5,311,693,604)	
Loss (gain) on foreign currency translations	23,712,220,093	(18,303,049,624)	-	5,409,170,469	5,409,170,469	-	
Inventories	7,917,229,242	(47,547,990)	-	7,869,681,252	7,869,681,252	-	
Bad debt expenses	5,527,331,276	5,098,452,643	-	10,625,783,919	10,625,783,919	-	
Depreciation	(4,197,996,864)	(2,583,826,524)	-	(6,781,823,388)	-	(6,781,823,388)	
Provision for performance bonus	24,535,572,755	5,494,655,013	-	30,030,227,768	30,030,227,768	-	
Gain from assets contributed	740,175,755	2,880,061	-	743,055,816	743,055,816	-	
Accrued income	(4,169,726,770)	243,028,624	-	(3,926,698,146)	-	(3,926,698,146)	
Emission liability	138,483,936	84,355,597	-	222,839,533	222,839,533	-	
Contract assets	(78,215,276,768)	(9,284,713,524)	-	(87,499,990,292)	-	(87,499,990,292)	
Contract liabilities	74,448,284,292	16,851,142,283	-	91,299,426,575	91,299,426,575	-	
Lease liabilities / Right-of-use assets	(11,157,578,084)	11,295,676,962	-	138,098,878	138,098,878	-	
Intangible assets	221,842,635	18,713,489	-	240,556,124	240,556,124	-	
Gain (loss) on valuation of derivatives	(3,022,852,082)	1,858,587,343	-	(1,164,264,739)	-	(1,164,264,739)	
Impairment loss on investments in equity method applied investments in associate and joint venture	35,136,374,004	(35,136,374,004)	-	-	-	-	
Valuation option of derivatives	563,345,626	494,897,799	-	1,058,243,425	1,058,243,425	-	
Donations	7,144,600	(7,144,600)	-	-	-	-	
Property, plant and equipment	534,070,535	(375,981,938)	-	158,088,597	158,088,597	-	
Tax credit carryforward	3,149,240,923	-	-	3,149,240,923	3,149,240,923	-	
Deferred tax assets (liabilities)	82,270,164,199	(21,930,307,403)	1,283,925,626	61,623,782,422	166,308,252,591	(104,684,470,169)	

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The analysis of deferred tax assets and liabilities as of December 31, 2024 and 2023, is as follows:

<i>(in Korean won)</i>	2024	2023
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 95,580,084,255	₩ 80,385,500,678
Deferred tax asset to be recovered within 12 months	122,474,367,763	85,922,751,913
	<u>218,054,452,018</u>	<u>166,308,252,591</u>
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(82,171,534,578)	(82,392,509,731)
Deferred tax liability to be recovered within 12 months	(34,902,563,430)	(22,291,960,438)
	<u>(117,074,098,008)</u>	<u>(104,684,470,169)</u>
Deferred tax assets, net	<u>₩ 100,980,354,010</u>	<u>₩ 61,623,782,422</u>

As of December 31, 2024 and 2023, there are no deferred tax assets not recognized by the Company with respect to investments in associate and joint venture.

Realization of the future tax benefits related to the deferred tax assets is dependent on various factors, including the Company's ability to generate taxable income within the period during which the temporary differences reverse, the outlook of the Korean economic environment, and the overall future industry outlook. Management periodically considers these factors in reaching its conclusion and recognizes deferred income tax assets based on the possibility of future realization.

Impact of Pillar Two income taxes

Under the Pillar Two legislation, the Company is liable to pay a top-up tax for the difference between their GloBE effective tax rate per jurisdiction and the 15% minimum rate. The Company conducted an assessment of potential exposure to Pillar Two corporate tax of its constituent entities based on the 2023 country-by-country reporting and their 2024 financial statements. In most jurisdictions where the constituent entities operate, either the transitional relief provisions were met, or the effective tax rate was 15% or higher, resulting in no significant additional tax liabilities. Therefore, the company has not recognized any amount as a current corporate tax expense related to Pillar Two legislation.

Furthermore, the Company took advantage of exception regulation for the recognition and disclosure of deferred tax assets and liabilities related to Pillar Two legislation. As a result, the company did not recognize nor disclose any deferred tax assets or liabilities associated with the Pillar Two legislation.

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29. Earnings per Share

(a) Basic earnings per share

Basic earnings per share for the years ended December 31, 2024 and 2023, is calculated as follows:

<i>(in Korean won and in shares)</i>	2024	2023
Profit for the year	₩ 1,050,966,501,040	₩ 945,920,325,918
Weighted-average number of ordinary shares outstanding	<u>71,174,000</u>	<u>71,174,000</u>
Basic earnings per share	<u>₩ 14,766</u>	<u>₩ 13,290</u>

(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for the years ended December 31, 2024 and 2023, are as follows.

<i>(in share)</i>	2024	2023
Beginning number of ordinary shares issued	71,174,000	71,174,000
Weighted-average number of ordinary shares outstanding	71,174,000	71,174,000

(c) Diluted earnings per share

Because the Company has not issued any potential ordinary shares, basic earnings per share and diluted earnings per share are the same.

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30. Commitments and Contingencies

As of December 31, 2024, details of the Company's borrowings commitment with financial institutions are summarized as follows:

(in Korean won)

Financial Institution	Type	Currency	Limit	Currency	Disbursement
Woori Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
	B2B PLUS	KRW	5,760,000,000	KRW	-
Hana Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
	Comprehensive limit	KRW	40,000,000,000	KRW	-
Shinhan Bank	General loan	KRW	17,000,000,000	KRW	-
	Bank overdraft	KRW	10,000,000,000	KRW	-
Sumitomo Mitsui Banking Corporation	General loan	KRW	30,000,000,000	KRW	-
Australia and New Zealand Banking Group Limited	Loans for equipment	KRW	120,000,000,000	KRW	-

As of December 31, 2024, details of guarantees provided by financial institutions are summarized as follows:

(in Korean won)

	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantees	KRW	39,500,000,000	KRW	2,446,661,310
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000,000	KRW	-
Seoul Guarantee Insurance	Performance guarantee	KRW	174,200,699,992	KRW	174,200,699,992

If the Company does not comply with the commitments below, financial institutions may require an early redemption of borrowings and debentures. Details of covenants related to borrowings with financial institutions and issuance of debentures as of December 31, 2024, are as follows:

(i) borrowings

Financial Institution	Remarks	Key terms
Sumitomo Mitsui Bank ¹	Shareholder composition ratio	The ownership of the Samsung Group shall be over 50%, and Samsung C&T Corporation shall maintain its ownership in the Company in excess of 30%

¹ Not applicable since there was no borrowing as of December 31, 2023 and December 31, 2024

(ii) debentures

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Issuance	Face Value	Financial Ratio Maintenance	Collateral Restriction	Asset Sale Limit	Governance Restriction
7-2nd Bond	₩120 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business group subject to cross-shareholding restrictions
8-1st Bond	₩200 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business group subject to cross-shareholding restrictions
8-2nd Bond	₩600 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business group subject to cross-shareholding restrictions

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Company is exempt from the full amount of rent because the Company meets the requirements for exemption of rent in accordance with the *Common Property Management Ordinance of Incheon*. The Company recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

Lease terms are for a total of 50 years. The initial lease period is for 20 years from the land lease contract date, April 28, 2011, and the Company can renew the contract for another 30 years in successive 10-year increments.

(ii) Exemption requirement

The company whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of *Common Property Management Ordinance of Incheon*. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

As of December 31, 2024, there are a total of five pending lawsuits of stock transaction damages related to the Company's accounting and disclosure (Note 34) and the total amount of litigation is ₩ 9,329 million. As of December 31, 2024, the Company is in the process of an injunction lawsuit filed by Regeneron Pharmaceuticals, Inc. to prohibit the sale of the SB15 product, and on February 7, 2025, the Seoul Central District Court ruled to grant the domestic sales ban injunction. There are eight other lawsuits and the amount of litigation is ₩ 4,730 million.

Contractual obligations to purchase property, plant and equipment and intangible assets as of December 31, 2024 are ₩ 1,116,337 million, of which the amount committed to related parties including Samsung E&A, Co., Ltd., is ₩ 701,662 million.

In November 2023, the Company entered into an investment agreement with a limit of total ₩ 17,820 million for SVIC No.64 New Technology Business Investment L.L.P. until November 2033.

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The Company entered into the land purchase agreement with Incheon Free Economic Zone(IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Company must carry out all procedures, such as facility construction plans and approval for use, within a certain period from the enforcement date of the purchase agreement. When the Company fails to fulfil the procedures, the purchase agreement may be cancelled.

The Company entered into a stock purchase agreement after the resolution of the Board of Directors on January 28, 2022 to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. held by Biogen Therapeutics Inc., and conditional consideration related with the agreement will be paid to Biogen Therapeutics Inc. After determining whether contractual requirements are met depending on the sales performance through the seller of the invested company after acquisition on an annual basis, whether the contingent consideration payment will be made or not and its amount will be determined in 2027 after the end of the relevant period. The range of the pre-discounted amount that the Company is likely to pay in the future under the above arrangement is USD 0 ~ 50,000,000.

The Company has entered into a supplier financing agreement with financial institutions to support the cash flow of strategic suppliers. Under the agreement, the bank acquires the rights to certain trade receivables of the suppliers. After this acquisition, the Company cannot directly make early payments to the suppliers, nor can it offset the liabilities with the receivables obtained from the suppliers. However, the Company has determined that it is appropriate to continue to present the related amounts in trade payables and other payables on the statement of financial position, as the terms of the trade payables have not substantially changed.

Details of the carrying amount of liabilities under supplier financing arrangements for the years ended December 31, 2024 and 2023, are as follows.

<i>(in Korean won)</i>	2024	2023
Liabilities under supplier financing arrangements	₩ 540,599,044,293	₩ 27,882,955,115
Liabilities under supplier financing arrangements where financial institutions have paid the suppliers ¹	-	5,274,583,126

¹ There were no significant business combinations or exchange rate differences that would affect liabilities under supplier financing arrangements. Additionally, there were no non-cash changes from trade and other payables to liabilities under supplier financing arrangements as of December 31, 2024 and 2023.

The Company determined that the Company is not the party that receives cash from the financial institution. The Company considers the corresponding cash flow to occur due to financial institutions as cash outflows from operating activities.

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Supplier finance commitment liabilities are short-term and their carrying amount is considered a reasonable approximation of fair value. Changes to the supplier financial agreement are as follows, and all other terms are the same as those for trade and other payables to the respective suppliers.

Range of maturity	2024	2023
Liabilities under supplier financing arrangements	Within 120 days from the invoice issuance date	Within 120 days from the invoice issuance date
Trade payables or other payables not part of supplier financing arrangements (same business)	Within 30 days from the invoice issuance date	Within 30 days from the invoice issuance date

31. Related Parties

As of December 31, 2024, Samsung C&T Corporation is a controlling company, and the percentage of ownership it has over the Company is 43.06%.

Details of related parties as of December 31, 2024, are as follows:

Relationship	Companies
Parent company	Samsung C&T Corporation
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.
Subsidiaries	Samsung Biologics America, Inc., Samsung Bioepis Co., Ltd.
Associates	SVIC No.54 New Technology Business Investment L.L.P., SVIC No.64 New Technology Business Investment L.L.P., Aimed Bio Inc.
Others	Samsung Welstory Inc., Samsung C&T Deutschland GmbH, Samsung Electronics Sales Co., Ltd., Samoo Architects & Engineers, Samsung C&T Japan Corporation, Samsung Electronics America, Inc.
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung E&A, Co., Ltd. (formerly, Samsung Engineering Co., Ltd.), S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung Securities Co.,Ltd, SBTM Corporation, SECUi Corp., SHP Corporation

¹ Although the entities are not the related party of the Company in accordance with Korean IFRS 1024, the entities belong to the Business Group designated as a conglomerate to which the Company also belongs in accordance with the Monopoly Regulation and Fair-Trade Act.

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Outstanding balances with related parties as of December 31, 2024 and 2023, are as follows:

(in Korean won)

	2024				
	Receivables		Payables		
	Trade receivables	Other receivables	Other payables and others	Advance receipts	Contract liabilities
Parent company					
Samsung C&T Corporation	₩ -	₩ -	₩ 69,102,000	₩ -	₩ -
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.	-	-	9,457,502,996	-	-
Subsidiaries					
Samsung Biologics America, Inc.	-	170,319,860	1,368,978,910	-	-
Samsung Bioepis Co., Ltd.	80,125,024,402	44,149,747	-	33,884,806,718	35,333,657,991
Associates					
Aimed Bio, Inc.	-	-	258,721,276	-	7,900,116
Others					
Samsung Welstory Inc.	-	-	1,552,560,996	-	-
Samsung Electronics Sales Co., Ltd.	-	-	53,078,000	-	-
Samoo Architects & Engineers	-	-	7,700,000	-	-
Samsung C&T Deutschland GmbH	-	-	217,517,506	-	-
Samsung Electronics America, Inc.	-	-	54,100,410	-	-
The Enterprise Group					
Samsung E&A Co., Ltd	-	-	520,024,076,000	-	-
S-1 Corporation	-	-	8,808,665,636	-	-
Samsung SDS Co., Ltd	-	28,994,000	11,569,814,858	-	-
Others ¹	-	89,382,717	1,546,689,910	-	-
	<u>₩ 80,125,024,402</u>	<u>₩ 332,846,324</u>	<u>₩ 554,988,508,498</u>	<u>₩ 33,884,806,718</u>	<u>₩ 35,341,558,107</u>

¹ Transactions with Samsung Card Co., Ltd., Samsung Global Research, Cheil Worldwide Inc, SBTM Corporation, Samsung Fire & Marine Insurance Co., Ltd., Multicampus Corporation, and SHP Corporation were included.

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	2023									
	Receivables				Payables					
	Trade receivables		Other receivables		Other payables and others		Advance receipts		Contract liabilities	
Parent company										
Samsung C&T Corporation	₩	-	₩	-	₩	1,177,528,000	₩	-	₩	-
Entity with significant influence over the Company										
Samsung Electronics Co., Ltd.		-		-		14,856,841,933		-		-
Subsidiaries										
Samsung Biologics America, Inc.		-		83,710,337		1,553,085,034		-		-
Samsung Bioepis Co., Ltd.		22,252,987,780		36,893,789		-		38,472,240,701		43,274,569,911
Associates										
Aimed Bio, Inc.		-		-		392,377,918		-		-
Others										
Samsung Welstory Inc.		-		1,204,045		1,860,881,519		-		-
Samsung Electronics America, Inc.		-		-		92,669,178		-		-
The Enterprise Group										
Samsung E&A, Co., Ltd		-		-		1,314,861,766		-		-
S-1 Corporation		-		-		16,876,163,090		-		-
Samsung SDS Co., Ltd.		-		-		6,191,454,817		-		-
Others ¹		-		67,353,680		2,400,508,796		-		-
	₩	22,252,987,780	₩	189,161,851	₩	46,716,372,051	₩	38,472,240,701	₩	43,274,569,911

¹ Transactions with Samsung Card Co., Ltd., Samsung Global Research, Cheil Germany GmbH, Cheil Worldwide Inc, SBTM Corporation, Samsung Fire & Marine Insurance Co., Ltd., Multicampus Corporation, and SHP Corporation were included.

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

	2024				
	Revenue		Expenses		Asset acquisition
	Revenue	Others	Service fees	Others	
Parent company					
Samsung C&T Corporation	₩	-	₩	-	₩ 11,960,000
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.		-		-	122,272,727
Subsidiaries					
Samsung Biologics America, Inc.		-	1,780,462,325	13,819,924,486	1,229,834,694
Samsung Bioepis Co., Ltd.	487,523,553,090		-	-	-
Associate					
Aimed Bio Inc.	347,005,732		-	1,211,129,840	-
Others					
Samsung Welstory Inc.		-	22,294,755	-	16,081,629,020
Samsung Electronics Sales Co., Ltd.		-	23,100,000	-	149,461,818
Samoo Architects & Engineers		-	222,000,000	-	120,000,000
Samsung C&T Deutschland GmbH		-	-	2,359,886,448	-
Samsung C&T Japan Corporation		-	-	995,641,920	-
Samsung Electronics America, Inc.		-	105,967,272	100,377,730	-
The Enterprise Group					
Samsung E&A, Co., Ltd		-	-	20,800,000,000	1,439,924,906,848
S-1 Corporation		-	38,136,818,510	5,064,409,750	1,872,263,960
Samsung SDS Co., Ltd.		-	37,121,914	36,827,306,334	5,329,512,363
Samsung Global Research Co., Ltd.		-	2,214,360,000	3,959,458,900	-
Samsung Fire & Marine Insurance Co., Ltd. ¹		-	1,122,269,654	4,128,000	13,024,000,939
Samsung Life Insurance Co., Ltd. ¹		-	1,056,289,712	-	115,011,206
Samsung Securities Co., Ltd. ¹		-	1,357,153,719	301,078,078	-
Others ²		-	30,317,188	230,691,016	2,944,370,904
	₩487,870,558,822	₩5,429,009,267	₩100,521,766,561	₩103,406,877,045	₩1,450,172,687,694

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As of December 31, 2024, the Company deposited ₩ 38,320 million (2023: ₩ 33,229 million) in Samsung Fire & Marine Insurance Co., Ltd., ₩ 35,282 million (2023: ₩ 32,320 million) in Samsung Life Insurance Co., Ltd., and ₩ 39,909 million (2023: ₩ 35,152 million) in Samsung Securities Co., Ltd., as plan assets.

² Transactions with Samsung Card Co., Ltd., Cheil Worldwide Inc, SBTM Corporation, SECUI Corp., Multicampus Corporation, Hotel Shilla Co., Ltd., and SHP Corporation were included.

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(in Korean won)

	2023						
	Revenue			Expenses			
	Revenue		Others	Service fees		Others	Asset acquisition
Parent company							
Samsung C&T Corporation	₩	-	₩	-	₩ 863,140,000	₩ 193,636,364	₩3,491,000,000
Entity with significant influence over the Company							
Samsung Electronics Co., Ltd.		-		-	12,657,919,066	15,599,726	-
Subsidiaries							
Samsung Biologics America, Inc.		-		483,198,490	12,863,975,851	-	122,235,779
Samsung Bioepis Co., Ltd.	264,464,556,477			-	-	-	-
Associate							
Aimed Bio Inc.		-		-	-	1,720,343,562	-
Others							
Samsung Welstory Inc.		-		29,096,081	-	16,647,259,955	-
Samsung Electronics Sales Co., Ltd.		-		9,125,000	-	84,476,816	-
Samoo Architects & Engineers		-		-	78,000,000	-	645,267,600
Samsung C&T Deutschland GmbH		-		-	-	3,350,203,414	-
Samsung C&T Japan Corporation		-		-	-	381,584,084	-
Samsung Electronics America, Inc.		-		-	184,895,272	-	-
The Enterprise Group							
Samsung E&A, Co., Ltd		-		-	-	10,000,000	315,566,212,176
S-1 Corporation		-		-	33,409,575,287	4,110,452,100	13,055,770,000
Samsung SDS Co., Ltd.		-		304,112,265	3,410,977,534	18,334,250,120	6,092,546,000
Samsung Global Research Co., Ltd.		-		-	3,456,370,000	1,694,203,260	-
Samsung Fire & Marine Insurance Co., Ltd. ¹		-		1,563,263,994	4,195,800	11,346,381,305	-
Samsung Life Insurance Co., Ltd. ¹		-		1,013,167,472	-	184,079,793	-
Samsung Securities Co.,Ltd. ¹		-		1,596,551,081	37,572,139	-	-
Others ²		-		28,448,788	637,805,705	2,591,088,734	2,220,737,936
	₩264,464,556,477		₩5,026,963,171		₩67,604,426,654	₩60,663,559,233	₩341,193,769,491

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² Transactions with Samsung Card Co., Ltd., Cheil Germany GmbH, Cheil Worldwide Inc, SBTM Corporation, SECUi Corp., Multicampus Corporation, Hotel Shilla Co., Ltd., and SHP Corporation were included.

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The compensation paid or payable to key management for employee services for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024	2023
Short-term employee benefits, etc	₩ 8,723,133,354	₩ 4,434,094,450
Long-term employee benefits, etc	5,336,649,094	3,156,331,591
Retirement benefits	558,735,462	401,708,159
	<u>₩ 14,618,517,910</u>	<u>₩ 7,992,134,200</u>

Key management refers to the registered directors. Compensation of the Company's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Company has granted long-term incentives to the Company's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

Financing transactions with related parties for the years ended December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	Companies	2024	2023	Description
Associate and joint venture	SVIC No.54 New Technology Business Investment L.L.P.	₩ 9,240,000,000	₩ 12,375,000,000	Equity contribution in cash
	SVIC No.64 New Technology Business Investment L.L.P.	1,454,062,500	178,200,000	Equity contribution in cash
	Archigen Biotech Limited ¹	-	4,181,809,275	Liquidation

¹ In April 2023, the Company received the liquidation distribution from Archigen Biotech Limited and deducted it from the carrying amount of the investments. The liquidation of Archigen Biotech Limited was completed in September 2023.

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32. Statements of Cash Flows

The Company has prepared the cash flows from operating activities using the indirect method. The adjustments related to cash flows from operating activities and the changes in assets and liabilities due to operating activities for the current and previous quarters are as follows.

<i>(in Korean won)</i>	2024		2023	
Cash flows from operating activities				
Profit for the year	₩	1,050,966,501,040	₩	945,920,325,918
Adjustments for:				
Retirement benefits		26,816,546,625		23,437,484,360
Depreciation		276,080,392,361		235,737,539,919
Amortization of intangible assets		12,941,109,611		9,376,740,359
Depreciation of right-of-use asset		10,009,516,076		9,782,111,537
Loss on valuation of inventories		56,337,146,551		12,412,931,101
Impairment loss on contract assets		885,334,551		1,283,116,281
Loss on retirement of property, plant and equipment		508,262,693		2,764,395,398
Gain on disposal of property, plant and equipment		(33,199,341)		(92,683,074)
Loss on disposal of property, plant and equipment		1,460,266,006		823,494,165
Impairment loss on intangible assets		367,667		365,077,000
Gain on foreign currency translations		(53,145,083,941)		(8,646,448,012)
Loss on foreign currency translations		6,318,332,040		15,405,623,915
Gain on valuation of derivatives		(20,594,832,920)		(1,962,774,713)
Loss on valuation of derivatives		-		1,909,712,375
Gain on disposal of investments		-		(368,217,855)
Cost of emissions		500,890,270		863,719,120
Interest income		(54,074,763,167)		(90,298,932,094)
Interest expenses		34,077,260,504		55,814,144,215
Bad debt expense		(6,379,525,563)		21,510,607,254
Income tax expense		351,411,387,841		278,263,086,582
Others		(2,040,473,694)		(549,412,605)
		<u>641,078,934,170</u>		<u>567,831,315,228</u>
Change in operating assets and liabilities:				
Trade and other receivables		(366,883,860,488)		94,897,061,580
Inventories		(260,647,574,753)		(447,730,701,728)
Deposits provided		755,961,000		1,717,959,000
Contract assets		(20,334,400,541)		(38,981,881,763)
Other assets		6,562,252,432		6,686,472,371
Trade and other payables		210,359,375,052		187,940,966,400
Contract liabilities		102,346,623,515		64,191,706,365
Emission liabilities		(863,719,120)		(538,848,000)
Advance receipts		291,607,727,297		270,283,394,132
Other liabilities		499,418,608		1,300,415,788
Retirement benefits paid		(4,347,368,330)		(3,393,707,460)
Defined benefit liabilities transferred from related parties		979,816,670		-
Changes in plan assets		(25,202,846,375)		(18,728,825,464)

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	2024	2023
	(65,168,595,033)	117,644,011,221
₩	1,626,876,840,177	₩ 1,631,395,652,367

Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

	2024	2023
Increase in other payables due to acquisition of property, plant and equipment and intangible assets	₩ 540,494,435,717	₩ 58,829,092,244
Transfer of construction-in-progress to property, plant and equipment and intangible assets	171,097,357,999	1,318,670,731,804
Increase in right-of-use assets and lease liabilities	8,790,238,931	26,832,214,867

Changes in liabilities arising from financial activities for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

(in Korean won)

	2024													
	Current portion of debentures		Debentures		Short-term borrowings		Current portion of long-term borrowings		Long-term borrowings		Lease liabilities		Total	
At January 1, 2024	₩	379,723,014,266	₩	119,782,549,508	₩	220,000,000,000	₩	208,682,000,000	₩	-	₩	278,203,961,170	₩	1,206,391,524,944
Changes arising from financial activities:														
Issuance of debentures		-		797,659,176,800		-		-		-		-		797,659,176,800
Repayment of borrowing liabilities		-		-		(220,000,000,000)		(208,682,000,000)		-		-		(428,682,000,000)
Repayment of debentures		(380,000,000,000)		-		-		-		-		-		(380,000,000,000)
Payment of lease		-		-		-		-		-		(143,153,442,240)		(143,153,442,240)
Others:														
Amortization of discount on debentures		276,985,734		314,981,684		-		-		-		-		591,967,418
Changes in lease		-		-		-		-		-		8,790,238,931		8,790,238,931
Gain on lease cancellation		-		-		-		-		-		(755,665)		(755,665)
At December 31, 2024	₩	-	₩	917,756,707,992	₩	-	₩	-	₩	-	₩	143,840,002,196	₩	1,061,596,710,188

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	2023													
	Current portion of debentures		Debentures		Short-term borrowings		Current portion of long-term borrowings		Long-term borrowings		Lease liabilities		Total	
At January 1, 2023	₩	39,978,721,221	₩	499,052,332,157	₩	50,000,000,000	₩	428,019,000,000	₩	246,038,000,000	₩	407,224,450,196	₩	1,670,312,503,574
Changes arising from financial activities:														
Proceeds from borrowing liabilities		-		-		220,000,000,000		-		-		-		220,000,000,000
Repayment of borrowing liabilities		-		-		(50,000,000,000)		(426,699,000,000)		(39,339,000,000)		-		(516,038,000,000)
Issuance of debentures		(40,000,000,000)		-		-		-		-		-		(40,000,000,000)
Payment of lease		-		-		-		-		-		(155,848,043,673)		(155,848,043,673)
Others:														
Reclassification to current portion		379,619,903,956		(379,619,903,956)		-		207,362,000,000		(207,362,000,000)		-		-
Effects of exchange rate changes on cash and cash equivalents		-		-		-		-		663,000,000		-		663,000,000
Amortization of discount on debentures		124,389,089		350,121,307		-		-		-		-		474,510,396
Changes in lease		-		-		-		-		-		26,832,214,867		26,832,214,867
Gain on lease cancellation		-		-		-		-		-		(4,660,220)		(4,660,220)
At December 31, 2023	₩	379,723,014,266	₩	119,782,549,508	₩	220,000,000,000	₩	208,682,000,000	₩	-	₩	278,203,961,170	₩	1,206,391,524,944

On January 28, 2022, the Company entered into a stock purchase agreement following a resolution by its board of directors to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. held by Biogen Therapeutics Inc. The total purchase price is USD 2,300,000,000 (including a conditional payment of USD 50,000,000). The cash outflow for the acquisition of shares in the related subsidiary was USD 437,500,000 for the current year and USD 812,500,000 for the previous year.

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33. Financial Risk Management

The Company is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring and managing risks, and the Company's management of capital. Further quantitative disclosures are included throughout these financial statements

(a) Financial risk management

The Company's risk management policies are established to identify and analyze the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Company.

(b) Credit risk

The Company assesses the credit quality of the customer, comprehensively taking into account its financial information and pipeline development stages from the point when the contract is made. Also, the Company periodically evaluates the credit worthiness of each customer or counterparty through the analysis of its financial information, historical transaction records and other factors.

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Company's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as of December 31, 2024 and 2023, are as follows:

<i>(in Korean won)</i>	2024		2023	
Cash and cash equivalents	₩	299,588,328,642	₩	230,790,684,551
Short-term financial instruments		900,000,000,000		1,650,000,000,000
Long-term financial instruments		6,000,000		5,186,000,000
Trade and other receivables		705,368,567,915		360,322,152,185
Derivative assets		-		4,512,654,027
Deposits provided		48,485,224,131		49,441,660,101
Contract assets - unbilled		29,718,734,645		24,791,698,034
	₩	<u>1,983,166,855,333</u>	₩	<u>2,325,044,848,898</u>

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The Company applies the simplified approach to measuring expected credit losses which uses a lifetime expected allowance for credit losses for all trade receivables and other receivables and contract assets. The contract assets have substantially the same risk characteristics as the trade receivables and other receivables for the same types of contracts. The Company has, therefore, concluded that the expected loss rates for trade receivables and other receivables are a reasonable approximation of the loss rates for the contract assets.

The Company applies expected credit loss rates considering the forward looking estimates and probability of default in prior periods for customers with objective evidence of impairment. The Company considered that there was evidence of impairment if any of the following indicators were present:

- significant financial difficulties of the debtor
- probability that the debtor will enter bankruptcy or financial reorganization, and
- default or delinquency in payments

On that basis, the allowance for credit losses as of December 31, 2024 and 2023 was determined as follows for both trade receivables and other receivables and contract assets:

(in Korean won)

	Current	Past due					Total
		Less than 1 months	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months	
December 31, 2024							
Expected loss rate	0.55%	0.21%	30.60%	1.14%	10.78%	99.65%	4.58%
Gross carrying amount – trade receivables	₩ 672,663,732,259	₩ 21,766,956,919	₩ 25,483,766	₩ 2,695,497,678	₩ 396,651,445	₩ 34,913,018,958	₩ 732,461,341,025
Gross carrying amount – other receivables	95,869,818,806	5,486,580	-	14	21,753,809	136,467,131	96,033,526,340
Gross carrying amount – contract assets	32,319,345,183	-	-	-	-	-	32,319,345,183
Loss allowance provision	(4,368,275,829)	(45,408,372)	(7,797,371)	(30,630,472)	(45,100,551)	(34,925,082,794)	(39,422,295,389)
December 31, 2023							
Expected loss rate	1.38%	0.57%	1.32%	77.30%	40.85%	98.01%	10.32%
Gross carrying amount – trade receivables	₩ 312,158,511,527	₩ 6,347,100,586	₩ 7,749,649,455	₩ 9,217,982,047	₩ 6,683,210,639	₩ 33,858,128,742	₩ 376,014,582,996
Gross carrying amount – other receivables	69,393,122,761	52,767,203	74,432,188	4,655,264	51,318,186	75,568,834	69,651,864,436
Gross carrying amount – contract assets	28,335,146,629	-	-	-	-	-	28,335,146,629
Loss allowance provision	(5,647,693,646)	(36,450,509)	(103,039,443)	(7,129,453,040)	(2,750,796,238)	(33,258,835,076)	(48,926,267,952)

Samsung Biologics Co., Ltd.
Notes to the Separate Financial Statements
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Movements in the loss allowance provision for trade and other receivables and contract assets for the years ended December 31, 2024 and 2023, are as follows:

	(in Korean won)		Trade receivables		Other receivables		Contract assets	
			2024	2023	2024	2023	2024	2023
Beginning balance	₩		44,996,121,608	₩ 26,564,727,170	₩ 386,697,749	₩ 56,249,076	₩ 3,543,448,595	₩ 643,284,452
Increase			93,373,621	18,623,818,813	-	333,318,834	73,999,613	3,161,552,517
Reversal			(5,503,529,195)	(192,424,375)	(26,531,932)	(2,870,161)	(1,016,837,670)	(261,388,374)
Write-off			(3,124,447,000)	-	-	-	-	-
Ending balance	₩		36,461,519,034	₩ 44,996,121,608	₩ 360,165,817	₩ 386,697,749	₩ 2,600,610,538	₩ 3,543,448,595

(c) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Company manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as of December 31, 2024 and 2023, including estimated interest payments and excluding the impact of netting agreements. The Company does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

	(in Korean won)					
	2024					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables ¹	₩ 966,580,156,155	₩ 966,580,156,155	₩ 966,580,156,155	₩ -	₩ -	₩ -
Lease liabilities	143,840,002,196	143,642,727,482	136,636,561,352	7,006,166,130	-	-
Debentures	917,756,707,992	992,165,580,274	29,458,800,000	347,093,958,356	615,612,821,918	-
	₩ 2,028,176,866,343	₩ 2,102,388,463,911	₩ 1,132,675,517,507	₩ 354,100,124,486	₩ 615,612,821,918	₩ -

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions that have entered into supplier financing arrangements maintain a sound financial position, and the Company does not have significant liquidity risk concentration with these financial institutions (Note 30).

Samsung Biologics Co., Ltd.

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(in Korean won)

	2023					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables ¹	₩ 888,790,397,835	₩ 888,790,397,835	₩ 888,790,397,835	₩ -	₩ -	₩ -
Lease liabilities	278,203,961,170	278,847,578,087	142,629,421,803	130,515,506,154	5,342,918,130	359,732,000
Debentures	499,505,563,774	511,915,110,685	387,507,875,616	2,632,800,000	121,774,435,069	-
Short-term borrowings	220,000,000,000	228,073,367,123	228,073,367,123	-	-	-
Long-term borrowings	208,682,000,000	212,596,181,121	212,596,181,121	-	-	-
	<u>₩2,095,181,922,779</u>	<u>₩ 2,120,222,634,851</u>	<u>₩1,859,597,243,498</u>	<u>₩133,148,306,154</u>	<u>₩127,117,353,199</u>	<u>₩ 359,732,000</u>

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions that have entered into supplier financing arrangements maintain a sound financial position, and the Company does not have significant liquidity risk concentration with these financial institutions (Note 30).

(d) Currency risk

The Company is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Company establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) Exposure to currency risk

The Company's exposure to foreign currency risk as of December 31, 2024 and 2023, is as follows:

(in Korean won)

	2024				
	USD	EUR	CHF	JPY	GBP
Assets:					
Cash equivalents	₩ 16,089,267,026	₩ -	₩ -	₩ -	₩ -
Trade and other receivables	644,901,847,758	17,288,998	226,620,821	-	463,476,267
Contract assets	29,129,360,797	-	-	-	-
	<u>690,120,475,581</u>	<u>17,288,998</u>	<u>226,620,821</u>	<u>-</u>	<u>463,476,267</u>
Liabilities:					
Borrowings	-	-	-	-	-
Trade and other payables	69,871,620,463	495,079,595	41,835,722	10,616,969	26,982,390
	<u>69,871,620,463</u>	<u>495,079,595</u>	<u>41,835,722</u>	<u>10,616,969</u>	<u>26,982,390</u>
	<u>₩ 620,248,855,118</u>	<u>₩ (477,790,597)</u>	<u>₩ 184,785,099</u>	<u>₩ (10,616,969)</u>	<u>₩ 436,493,877</u>

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(in Korean won)

	2023				
	USD	EUR	CHF	JPY	GBP
Assets:					
Cash equivalents	₩ 193,410,000,000	₩ -	₩ -	₩ -	-
Trade and other receivables	363,437,971,396	1,249,904,726	9,575,575	-	879,009,986
Contract assets	27,794,178,772	-	-	-	-
	<u>584,642,150,168</u>	<u>1,249,904,726</u>	<u>9,575,575</u>	<u>-</u>	<u>879,009,986</u>
Liabilities:					
Borrowings	38,682,000,000	-	-	-	-
Trade and other payables	557,576,278,990	938,001,105	9,575,575	169,407,155	786,105,202
	<u>596,258,278,990</u>	<u>938,001,105</u>	<u>9,575,575</u>	<u>169,407,155</u>	<u>786,105,202</u>
	<u>₩ (11,616,128,822)</u>	<u>₩ 311,903,621</u>	<u>₩ -</u>	<u>₩ (169,407,155)</u>	<u>₩ 92,904,784</u>

(ii) The significant exchange rates applied for the years ended December 31, 2024 and 2023, are as follows:

(in Korean won)

	2024			2023		
	Average rate	December 31, 2024		Average rate	December 31, 2023	
USD	₩ 1,363.09	₩ 1,470.00	₩	1,307.90	₩ 1,289.40	₩
EUR	1,474.76	1,528.73		1,415.38	1,426.59	
CHF	1,548.74	1,626.38		1,457.07	1,526.82	
JPY(100 ¥)	900.76	936.48		933.14	912.66	
GBP	1,742.08	1,843.67		1,627.42	1,641.79	

Samsung Biologics Co., Ltd.
Notes to the Separate Financial Statements
December 31, 2024 and 2023

(iii) Sensitivity analysis

The Company internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Company's income before tax for the year. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

	2024		2023	
	10% increase	10% decrease	10% increase	10% decrease
USD	₩ 62,024,885,512	₩ (62,024,885,512)	₩ (1,161,612,882)	₩ 1,161,612,882
EUR	(47,779,060)	47,779,060	31,190,362	(31,190,362)
CHF	18,478,510	(18,478,510)	-	-
JPY	(1,061,697)	1,061,697	(16,940,716)	16,940,716
GBP	43,649,388	(43,649,388)	9,290,478	(9,290,478)
	<u>₩ 62,038,172,653</u>	<u>₩ (62,038,172,653)</u>	<u>₩ (1,138,072,758)</u>	<u>₩ 1,138,072,758</u>

(e) Interest rate risk

The Company is exposed to interest rate risk because they raised funds with interests paid at variable rate. The effects of changes in interest rates by 0.5% applied to the profit and loss (before tax) for the years ended December 31, 2024 and 2023, are as follows:

	2024		2023	
	0.5% increase	0.5% decrease	0.5% increase	0.5% decrease
Increase (decrease) in profit before income tax	₩ -	₩ -	₩ (1,400,000,000)	₩ 1,400,000,000

(f) Capital management

The Company's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Company may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as of December 31, 2024 and 2023, are as follows:

(in Korean won)	2024	2023
Total liabilities (A)	₩ 4,036,318,163,152	₩ 3,592,626,821,824
Total equity (B)	9,280,892,761,658	8,238,633,782,732
Debt-to-equity ratio (A/B)	43.49%	43.61%

Samsung Biologics Co., Ltd.
Notes to the Separate Financial Statements
December 31, 2024 and 2023

34. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission ("SFC") imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company's Financial Statements from 2012 to 2015 regarding the Company's joint venture agreement with Biogen Therapeutics Inc. The measures ("First measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company's executives in charge; and iii) prosecution against the Company and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to the first half of 2018. The measures ("Second measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company's representative director (CEO) and executives in charge; iii) referral of the case against the Company and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of ₩ 8 billion on November 21, 2018.

In order to demonstrate the legitimacy of the Company's accounting, the Company submitted requests for cancellation of the First measures on October 8, 2018 and the Second measures on November 27, 2018 to the Seoul Administrative Court (the "Court"). As of the reporting date, the lawsuits seeking the cancellation of the First and Second measures are in progress.

On September 24, 2020, the Court ruled to cancel the First measures imposed to the Company by SFC and decided to suspend the First measures until the decision of the appeal trial is made. The SFC appealed the Court's first trial on October 16, 2020 and the litigation is currently in progress at the Seoul High Court. On August 14, 2024, the Court ruled to cancel the Second measures imposed to the Company by SFC. The SFC appealed the Court's first trial on August 28, 2024 and the litigation is currently in progress at the Seoul High Court.

In addition, the Company submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on September 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC's measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the consolidated financial statements from 2012 to 2022 could potentially be restated. If the Company's financial statements are restated in accordance with the SFC's measures, there is no effect on the Company's separate financial statements for the year ended December 31, 2024.

Samsung Biologics Co., Ltd.
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With respect to this matter, the investigation by the prosecutor against the Company's former CEO, CFO and others for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act was carried out. In 2021, the Company's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act, and the first trial was conducted.

On February 5, 2024, the Seoul Central District Court acquitted to the Company's former CEO and CFO on charges of violation of the Act on External Audit of Stock Companies, and the prosecutor appealed the Court's acquittal on February 8, 2024. The Seoul High Court dismissed the prosecution's appeal on February 3, 2025, and the prosecution appealed the appellate Court's decision on February 7, 2025. In addition, on February 14, 2024, the Seoul Central District Court acquitted to the Company's former CEO and CFO for alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act. With respect to the allegations of evidence destruction, the former CEO was acquitted, and the CFO received suspended sentence. The prosecutor appealed the Court's first trial on February 20, 2024, and the CFO who received suspended sentence appealed the Court's first trial on February 21, 2024.

Meanwhile, on December 9, 2019, employees of the Company and Company's affiliate who were arrested on allegations of evidence destruction, were found guilty of violating the Act on External Audit of Stock companies and Criminal Act in the first ruling of the Seoul Central District Court. All the employees of the Company's affiliates appealed the ruling above, and the employee of the Company who abandoned his or her appeal received suspended sentences for the destruction of evidence.



**Independent Auditor's Report on
Internal Control over Financial Reporting**

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion on Internal Control over Financial Reporting

We have audited Samsung Biologics Co., Ltd.'s (the "Company") Internal Control over Financial Reporting as of December 31, 2024, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

In our opinion, the Company maintained, in all material respects, effective internal control over financial reporting as of December 31, 2024, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We also have audited, in accordance with Korean Standards on Auditing, the separate financial statements of the Company, which comprise the separate statement of financial position as of December 31, 2024, and the separate statement of comprehensive income, separate statement of changes in equity and separate statement of cash flow for the year then ended, and notes to the separate financial statements including a summary of significant accounting policies, and our report dated February 25, 2025 expressed an unqualified opinion.

Basis for Opinion on Internal Control over Financial Reporting

We conducted our audit in accordance with Korean Standards on Auditing. Our responsibility under these standards are further described in the *Auditor's Responsibilities for the Audit of the Internal Control over Financial Reporting* section of our report. We are independent of the Company in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of internal control over financial reporting and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management and Those Charged with Governance for Internal Control over Financial Reporting

Management is responsible for designing, implementing and maintaining effective internal control over financial reporting, and for its assessment about the effectiveness of internal control over financial reporting, included in the accompanying Management's Report on the Effectiveness of Internal Control over Financial Reporting.

Those charged with governance have the responsibilities for overseeing internal control over financial reporting.

Auditor's Responsibilities for the Audit of Internal Control over Financial Reporting

Our responsibility is to express opinion on the Company's internal control over financial reporting based on our audit. We conducted the audit in accordance with Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

An audit of internal control over financial reporting involves performing procedures to obtain audit evidence about whether a material weakness exists. The procedures selected depend on the auditor's judgment, including the assessment of the risks that a material weakness exists. An audit includes obtaining an understanding of internal control over financial reporting and testing and evaluating the design and operating effectiveness of internal control over financial reporting based on the assessed risk.

Definition and Inherent Limitations of Internal Control over Financial Reporting

An entity's internal control over financial reporting is a process effected by those charged with governance, management, and other personnel, designed to provide reasonable assurance regarding the preparation of reliable financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea. An entity's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the entity; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea, and that receipts and expenditures of the entity are being made only in accordance with authorizations of management and those charged with governance; and (3) provide reasonable assurance regarding prevention, or timely detection and correction of unauthorized acquisition, use, or disposition of the entity's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent, or detect and correct, misstatements. Also, projections of any assessment of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

The engagement partner on the audit resulting in this independent auditor's report is Ki-Rok Kim, Certified Public Accountant.

Samil PricewaterhouseCoopers

Seoul, Korea

February 25, 2025

This report is effective as of February 25, 2025, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the Company's internal control over financial reporting thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

**Management's Report on the Effectiveness of
Internal Control over Financial Reporting**

(English Translation of a Report Originally Issued in Korean)

To the Shareholders, Board of Directors and Audit Committee of
Samsung Biologics Co., Ltd.

We, as the Chief Executive Officer (CEO) and the Internal Control over Financial Reporting Officer of Samsung Biologics Co., Ltd. (the "Company"), assessed the effectiveness of the design and operation of the Company's Internal Control over Financial Reporting (ICFR) for the year ended December 31, 2024.

The Company's management, including ourselves, is responsible for designing and operating ICFR. We assessed the design and operating effectiveness of ICFR in the prevention and detection of an error or fraud which may cause material misstatements in the preparation and disclosure of reliable financial statements. We designed and operated ICFR in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting* established by the Operating Committee of Internal Control over Financial Reporting in Korea (the ICFR Committee). And, we conducted an evaluation of ICFR based on *Best Practice Guideline for Evaluating and Reporting Effectiveness of Internal Control over Financial Reporting* established by the ICFR Committee.

Based on the assessment results, we believe that the Company's ICFR, as of December 31, 2024, is designed and operating effectively, in all material respects, in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We certify that this report does not contain any untrue statement of a fact, or omit to state a fact necessary to be presented herein. We also certify that this report does not contain or present any statement which cause material misunderstandings, and we have reviewed and verified this report with sufficient due care.

February 12, 2025

John Rim,
Chief Executive Officer

Seung Ho Ryu,
Internal Control over Financial Reporting Officer